

# Building contract for new homes

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121 Exhibition Street  
Melbourne VIC 3000

## About this contract

Consumer Affairs Victoria (Department of Justice) has developed this contract to assist *Builders* and *Building Owners* entering into a contract for the construction of a new home. This contract can be used where the *Builder* is registered in Victoria as a domestic builder by the Building Practitioners Board. This contract should not be used if the *Building Owner* intends to carry out the *Work* as an owner builder or if the building permit identifies the *Builder* as the owner.

This contract satisfies the requirements of the *Domestic Building Contracts Act 1995* (the *Act*) and other relevant legislation and provides a fair balance between the rights and obligations of the *Builder* and those of the *Building Owner*. As far as possible without losing legal intent, the contract has been drafted in plain English.

The contract includes notes designed to help both parties understand their rights and their responsibilities under the contract. These notes are advisory only and do not form part of the legal contract.

To assist parties to this contract to communicate with each other about significant issues, the contract provides model forms (see [Part D](#)). The contract does not mandate the use of these forms but their use is highly recommended.

The use of this model contract is voluntary. *Builders* and *Building Owners* are free to use a different contract, such as one prepared by the *Builder*, a solicitor, or purchased from an industry association – provided it satisfies the provisions of the *Act* and other laws.

Whether this model contract or a different contract is used, both the *Builder* and *Building Owner* should read and fully understand all the terms in the contract.

When signed by all the parties, this contract will be legally binding in the same way as a contract drawn up by a solicitor.

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This contract is designed for use for a new home where plans and specifications for the *Work* have already been drawn up and where the *Builder* is engaged to complete the construction of the home. It can be used for any new home, regardless of its size or cost.

If the *Building Owner* has any questions about this contract, its status, or how to complete it, they should:

- discuss the matter with the *Builder*
- seek advice, at the *Building Owner's* cost, from a suitably qualified professional, such as a solicitor experienced in domestic building contracts.

Consumer information on building and renovating is available at the [Consumer Affairs Victoria website](#) or by calling 1300 557 559.

Note: Words in italics appearing throughout this contract are defined in [Clause 1](#) of this contract ([Part B](#)). Legislation is also italicised but should not be read as a defined term.

## What does this contract include?

| Item                                                                     | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Cooling-off period notice</a>                                | <p>After signing a domestic building contract, the <i>Building Owner</i> enters into a 'cooling-off' period under Victoria's consumer protection laws. The 'cooling-off' period is five <i>Business Days</i>.</p> <p>During the cooling-off period, the <i>Building Owner</i> can decide not to continue with the contract. If the <i>Building Owner</i> decides they do not wish to continue with the contract, the <i>Building Owner</i> must sign the <a href="#">cooling-off period notice in this contract</a> and give it to the <i>Builder</i> in the manner detailed in the notice. Upon doing this, the contract is cancelled.</p> |
| <a href="#">Part A</a> : Required checklists before signing the contract | <p>There are two checklists in Part A of this contract that must be read and signed before the contract is signed. One checklist is for the <i>Building Owner</i> to complete. By law, this checklist must be completed before the contract is signed and entered into. The second checklist is a guide to assist both the <i>Building Owner</i> and the <i>Builder</i> to complete the contract.</p>                                                                                                                                                                                                                                       |
| <a href="#">Part B</a> : Terms of the contract and related attachments   | <p>This is the legal contract that sets out the various rights and obligations of the <i>Building Owner</i> and the <i>Builder</i>.</p> <p>Notes are provided to assist in understanding and completing the contract. These notes are advisory notes only and do not form part of the contract.</p>                                                                                                                                                                                                                                                                                                                                         |
| <a href="#">Part C</a> : Legislation Extracts                            | <p>Part C reproduces key sections of the <i>Act</i> to assist in understanding of the legal requirements of the contract.</p> <p>The terms of this contract require the <i>Building Owner</i> and the <i>Builder</i> to read and initial the copies of <a href="#">sections 37 and 38</a> (<i>Variation to contract</i>) and <a href="#">sections 40(1) and 40(2)</a> (<i>progress payments</i>) of the <i>Act</i>, which are reproduced in the <i>Legislation Extracts</i>.</p>                                                                                                                                                            |

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| Item                        | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Attachments</a> | A number of other important documents also form part of the contract, and need to be included as attachments. These include copies of the plans and specifications and estimates of the cost of particular items. These are explained in the consecutive sections <a href="#">Document List Attachment</a> , and <a href="#">General Attachment</a> .                                                                                                                                                                                                                      |
| Plans                       | Plans are detailed drawings that graphically describe the <i>Work</i> and how the <i>Work</i> will be undertaken. Plans will detail materials to be used including size, type, quantity, position and quality.<br><br>Plans will also detail how the <i>Work</i> complies with the relevant legislation governing the construction of the building, such as the Planning and Environment Act 1987 and the Building Act 1993.                                                                                                                                               |
| Specifications              | Specifications are a written description of the required quality of the <i>Work</i> . A specification prescribes specific details regarding the <i>Work</i> , including, for example, adherence to relevant Australian construction standards.<br><br>Specifications will also detail particular items a <i>Building Owner</i> requires in a building and the 'schedule of finishes' to be achieved in the building's construction.<br><br>Specifications also enable a clear understanding of the level of quality that is to be achieved in the building's construction. |
| <i>Prime Cost Items</i>     | <i>Prime Cost Items</i> are items (for example, a fixture or fitting) that either have not been selected, or whose price is not known, at the time the contract is entered into and for the cost of supply and delivery of which the <i>Builder</i> must make a reasonable allowance in the contract.<br><br>A <a href="#">Schedule individually identifying each Prime Cost Item</a> is attached to this contract.                                                                                                                                                        |
| <i>Provisional Sum</i>      | A <i>Provisional Sum</i> is an estimate of the cost of carrying out particular work (including the cost of supplying any materials needed for the <i>Work</i> ) under the contract for which a <i>Builder</i> , after making all reasonable inquiries, cannot give a definite amount at the time the contract is entered into.<br><br>A <a href="#">Schedule individually identifying each Provisional Sum item</a> is attached to this contract.                                                                                                                          |

Note: Words in italics are defined in [Clause 1 of this contract \(Part B\)](#).

## Cooling-off period notice

### Domestic Building Contracts Act 1995

Director of Consumer Affairs Victoria

Approved Notice

The following notice is hereby approved by the Director of Consumer Affairs Victoria. This version of the notice replaces the version published in the Victorian Government Gazette of 16 May 1996. The notice must be included in major domestic building contracts in substantially the same form or to the same effect as follows:

Notice pursuant to Section 31(n)

Cooling off period

Notice to *Building Owner*:. You may end this contract within five clear business days after receipt by you of a signed copy of the contract by filling in the notice below and giving it to the *Builder* in one of the following ways:

- (1) Personally;
- (2) Leaving it at his or her address set out in the contract with a person who appears to be at least 16 years old;
- (3) Sending it by pre-paid certified mail to the address set out in this contract;
- (4) Sending it by facsimile to the facsimile number (if any) set out in this contract.

Detach along dotted line

[Form begins]

### Notice that contract is ended

A **Building Owner** cannot withdraw from a contract under the Act if:

1. The **Builder** and the **Building Owner** have previously entered into a **major domestic building contract** that is in substantially the same terms for the carrying out of the *Work* in relation to the same home or land; OR
2. The **Building Owner** received independent legal advice from a practising solicitor concerning the contract before entering into the contract.

|                                                                                                                                                                                           |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| To ( <i>Builder</i> ):                                                                                                                                                                    |  |
| I/We:                                                                                                                                                                                     |  |
| give notice under our contract with you that the contract is ended. Please refund the deposit less \$100 and any out of pocket expenses incurred by you which I have previously approved. |  |
| <i>Building Owner's</i> signature:                                                                                                                                                        |  |
| Date:                                                                                                                                                                                     |  |

[Form ends]

## Key points

### 1. Checklists

The [Checklist for the Building Owner](#), later in this document, is required by law and must be completed and signed by the *Building Owner* (and not by the *Builder*) **before signing the contract**. It ensures the *Building Owner* has considered important issues before signing the contract. It also helps the *Building Owner* to communicate with the *Builder* about those issues before finalising the contract.

The [checklist 'Is the contract complete and ready to be signed'](#), later in this document, is a guide to assist both the *Building Owner* and the *Builder* before signing the contract. It ensures the *Building Owner* and the *Builder* have considered and understood important issues **before signing the contract**. It also helps the *Building Owner* and the *Builder* to communicate about those issues before finalizing the contract. This aims to reduce potential disputes and misunderstandings between the *Building Owner* and the *Builder*.

### 2. Check the *Builder* is registered

The *Building Owner* should check with the Victorian Building Authority (visit the [Victorian Building Authority website](#)) that the *Builder* holds a current registration with the Building Practitioners Board as a domestic builder.

A simple check would be to view the *Builder's* building practitioner's registration card issued by the Building Practitioners Board. For the purpose of construction of a new dwelling, the *Builder's* registration number will be prefixed with either:

- DB-U- e.g. DB-U 1234
- DB-M- e.g. DB-M 5678.

In addition to viewing the *Builder's* registration card, a *Building Owner* should also check that the *Builder's* registration is current. This is a simple process. Visit the [Victorian Building Authority website](#) and follow the links to 'registered building practitioner', then enter the *Builder's* registration number. The status of the *Builder's* registration will then be confirmed.

There are additional requirements when a building owner engages a builder with a registration number beginning with DB-M. The *Building Owner* should refer to the Victorian Building Authority website for further information.

### 3. Foundations Data

The law requires that the soil is tested to assess the type and cost of footings suitable for the site. The *Act* defines this testing as *Foundations Data*. This testing is important because, for example, rock hidden beneath the surface will significantly increase the cost of excavating the site. The law requires the *Builder* to obtain the *Foundations Data* for the *Building Site* before signing the contract. The *Building Owner* should confirm that the *Builder* has done this.

The cost of testing is not part of the *Contract Price* because the *Builder* needs this information before setting the *Contract Price*.

### 4. Be precise in requirements

It is best that the *Building Owner*:

- specifies the type of finish, colour code and exact model of appliances, fixtures or fittings in the plans and specifications attached to this contract
- ensures exact pricing for as many items as possible is included in the contract.

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This will help to avoid misunderstandings or disputes.

### 5. Get estimates when exact pricing is not possible

Sometimes a builder is unable to give an exact price for a particular item (for example, a fixture or fitting), or an exact price for carrying out a particular part of the *Work*. In this case (by law), the *Builder* is required to provide a written estimate in the *Prime Cost Item* or *Provisional Sum* Schedules. Any estimate must include a breakdown of the actual quantities of material and unit cost to the *Builder*.

The *Builder* must also give the *Building Owner* or the *Building Owner's Representative* a reasonable opportunity to be at the *Building Site* when the *Work* nominated in the *Prime Cost Item* or *Provisional Sum* Schedules is to be performed.

### 6. Deposit

The law limits the amount of the deposit the *Builder* can receive as follows:

- 5% of any *Contract Price* that is \$20,000 or more
- 10% of any *Contract Price* that is less than \$20,000.

It is an offence under the *Act* for a builder to seek a deposit in excess of the relevant amount above.

### 7. Completing the document

Where the contract provides for details to be filled in but that part of the contract is not applicable, the area that would ordinarily be filled in should be crossed out with a diagonal line rather than leaving it blank.

### 8. Permits and prescribed approvals

*Work* required to be carried out under this contract cannot commence until a building permit has been issued for the *Work*. It may also be necessary for a planning permit and other prescribed approvals to be issued before the building permit can be issued.

The term *Approval Work* in this contract refers to the work necessary to be undertaken to get the building permit and other permits and approvals.

The default in this contract is for the *Builder* to undertake the *Approval Work*. However, the contract also provides an option for the *Building Owner* to release the *Builder* from any obligation to undertake the *Approval Work*. In that case, the *Building Owner* is responsible for undertaking the *Approval Work*.

If the *Builder* is to complete the *Approval Work*, the *Building Owner* is authorising the *Builder* to make any application, appeal, referral or representation under the *Building Act 1993* and any other authorisation required to complete the *Approval Work* on behalf of the *Building Owner*. This could result in the *Builder* choosing the building surveyor for the *Work*. The *Building Owner* needs to know who the building surveyor is. The building surveyor can be the municipal building surveyor at the council or a private building surveyor.

### 9. Domestic Building Insurance

#### What is Domestic Building Insurance?

*Domestic Building Insurance* is 'last resort' insurance and provides insurance **only** in the event the *Builder* dies, disappears or becomes insolvent. This insurance does not provide warranty protection or general cover.

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*Domestic Building Insurance* requirements are set out in [Clause 8](#) of this contract.

### When is *Domestic Building Insurance* required?

Where the *Contract Price* for the carrying out of the *Work* is more than \$16,000, the law requires the *Builder* to take out *Domestic Building Insurance* for an individual project. *Domestic Building Insurance* must be taken out before the:

- building permit for the *Work* can be issued
- *Builder* can enforce any term of this contract
- *Work* can commence.

The *Building Owner* must make sure they get a copy of the *Domestic Building Insurance* documents identified in [Clause 8.4](#) prior to the *Work* commencing. These documents are:

- a) a copy of the *Domestic Building Insurance* policy
- b) the certificate of insurance
- c) a summary of the insurance product.

The *Building Owner* should check that the *Contract Price* matches the value stated in the *Domestic Building Insurance* policy.

### What does *Domestic Building Insurance* cover?

If the *Builder* dies, disappears or becomes insolvent, *Domestic Building Insurance* may provide some compensation to the *Building Owner* for loss or damage resulting from:

- non-completion of the *Work*
- defective *Work*
- a breach of warranty implied into the domestic building contract by section 8 of the *Act*
- a failure to maintain a standard or quality of *Work* specified in the domestic building contract
- conduct by the *Builder* in connection with the domestic building contract that contravenes a trade practices provision.

### How long does *Domestic Building Insurance* cover last?

For non-structural *Defects*, *Domestic Building Insurance* provides an indemnity for loss or damage occurring during the period starting on the commencement day of this contract and ending two years after the earlier of the:

- *Completion of Work*
- date of termination of the contract.

For all other loss or damage, *Domestic Building Insurance* provides an indemnity for the period starting on the commencement day of this contract and ending six years after the earlier of the:

- *Completion of Work*
- date of termination of the contract.

## 10. Other insurance requirements

General requirements for insurances to be provided by the *Builder*, other than *Domestic Building Insurance*, are set out in [Clause 42](#) of this contract.

## 11. Builder's warranties

Under the *Act* the *Builder* gives warranties relating to the *Work* and these are identified in [Clause 17](#) of this contract.

If the *Builder* has not died, disappeared or become insolvent, and an issue arises about the standard of workmanship, either during the construction of the building, or during the 10 years after the *Completion of Work*, or whether the *Builder* has met the terms of the contract including completing the contract, the *Builder* and the *Building Owner* must resolve the dispute under the terms of the contract and at common law.

If the *Builder* has not died, disappeared or become insolvent, the *Building Owner* cannot make a claim on the *Domestic Building Insurance* policy in respect of a warranty claim for the *Work* or the performance of the *Builder*.

## 12. Parties' authorised representatives

The *Building Owner* and the *Builder* must nominate their representative in the *Contract Details* in [Clause 4](#), together with their contact details.

The *Building Owner's Representative* and the *Builder's Representative* must be contactable during normal business hours.

If the nominated representative for either party changes, the parties should notify each other as soon as possible in writing by the agreed service method stated in the *Contract Details* in [Clause 4](#).

## 13. Termination of contract

The *Building Act 1993* requires the *Building Owner* and the *Builder* each to notify the building surveyor for the *Work* within 14 days after the engagement of the *Builder* ends by termination of the contract.

Failure to perform this notification can incur a maximum penalty of 10 penalty units. The *Building Owner* should discuss with the building surveyor the capacity to continue the *Work* once the contract with the *Builder* is terminated and the process required for notification of appointment of a subsequent builder.

If the *Building Owner* does not intend to complete the *Work*, either by appointing another builder or completing the *Work* themselves, the *Building Owner* should discuss with the relevant building surveyor how this affects compliance with the requirements of the *Building Act 1993* and any subsequent prescribed approval.

## Part A: Check the following lists before signing the contract

Section 31(r) of the *Domestic Building Contracts Act 1995* requires this checklist.

### Checklist for the *Building Owner*

Before signing this legally binding contract, check this list

Note: This checklist does not form part of the contract.

[Form begins]

| Checklist item                                                                                                                                                                                                                                                                                                                 | Response<br>(Yes or No) |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| 1. Has an insurance policy or a certificate of currency for <i>Domestic Building Insurance</i> been issued and provided to you? (see <a href="#">Clause 8</a> )<br><br>If not, the contract is conditional upon you receiving either an insurance policy or a certificate of currency for <i>Domestic Building Insurance</i> . |                         |
| 2. If this contract is conditional upon you receiving written approval for finance, have you obtained such written approval? (see <a href="#">Clause 19</a> )                                                                                                                                                                  |                         |
| If you answer 'no' to any of the following questions you are not ready to sign the contract.                                                                                                                                                                                                                                   |                         |
| 3. Have you had this contract long enough to read and understand it?                                                                                                                                                                                                                                                           |                         |
| 4. Have you been provided with evidence that the <i>Builder</i> named in this contract is registered in the category of DB-U or DB-M and the <i>Builder's</i> registration with the Building Practitioners Board is current? (see <a href="#">Clause 4</a> )                                                                   |                         |
| 5. Is the <i>Contract Price</i> clearly stated? (see <a href="#">Clause 5</a> )                                                                                                                                                                                                                                                |                         |
| 6. Do you understand how the price is calculated and how it may be varied? (see <a href="#">Clause 5</a> )                                                                                                                                                                                                                     |                         |
| 7. Is the amount and timing of each progress payment clearly stated? (see <a href="#">Clause 7</a> )                                                                                                                                                                                                                           |                         |
| 8. Has the <i>Builder</i> sought <i>Foundations Data</i> and assessed the suitability of the site for the proposed <i>Work</i> ? If tests are necessary, have they been carried out before signing the contract? (see <a href="#">Clause 12.2</a> )                                                                            |                         |
| 9. If a deposit is payable, is it within the legal limit? (see <a href="#">Clause 6</a> ) <ul style="list-style-type: none"><li>• 5% if the <i>Contract Price</i> is \$20,000 or more</li><li>• 10% if the <i>Contract Price</i> is less than \$20,000.</li></ul>                                                              |                         |

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| Checklist item                                                                                                                                                                                                                                                                                         | Response<br>(Yes or No) |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| 10. Is the <i>Work</i> to be performed under the contract clearly described in the contract (see <a href="#">Clause 9.3</a> ), and supported by plans, specifications and any other relevant documents such as engineering calculations or soil reports? (see <a href="#">Clause 10</a> )              |                         |
| 11. Have your special requirements or finishes been included in the plans or specifications?                                                                                                                                                                                                           |                         |
| 12. Does the contract clearly state the commencement date and completion date? If not, can those dates be worked out? (see <a href="#">Clause 4</a> , <a href="#">Clause 13</a> and <a href="#">Clause 14</a> )                                                                                        |                         |
| 13. Do you understand the procedure for an <i>Extension of Time</i> ? (see <a href="#">Clause 22</a> )                                                                                                                                                                                                 |                         |
| 14. Are any <i>Provisional Sums</i> or <i>Prime Cost Items</i> clearly stated in the attached Schedules and do you understand them? (see <a href="#">Clause 24</a> and <a href="#">Clause 25</a> and the <a href="#">Provisional Sums Schedule</a> and the <a href="#">Prime Cost Items Schedule</a> ) |                         |
| 15. Do you understand the procedure for varying the contract, including varying the plans or specifications? (see <a href="#">Clause 23</a> )                                                                                                                                                          |                         |
| 16. Do you understand the circumstances in which you can end the contract? (see <a href="#">Clause 18.5</a> , <a href="#">Clause 19.5</a> , <a href="#">Clause 23.5</a> , <a href="#">Clause 36.1</a> and <a href="#">Clause 38.1</a> )                                                                |                         |

Read, signed and dated by the *Building Owner(s)*

|               |  |
|---------------|--|
| Signature(s): |  |
| Date:         |  |

[Form ends]

## Is the contract complete and ready to be signed?

This checklist prompts the *Builder* to fill in all the required sections in this contract. Both the *Builder* and the *Building Owner* should go through this checklist before signing the contract.

Note: This checklist does not form part of the contract.

[Form begins]

| Checklist item                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Response<br>(Yes or No) |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| 1. Have the <i>Contract Details</i> in <a href="#">Clause 4</a> been filled in?                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                         |
| 2. Has the <i>Finish Date</i> or number of days required to finish the <i>Work</i> once it is commenced under <a href="#">Clause 13.1</a> been calculated and filled-in in the <i>Contract Details</i> in <a href="#">Clause 4</a> ?                                                                                                                                                                                                                                                                                                           |                         |
| 3. Has the <i>Contract Price</i> in <a href="#">Clause 5.1</a> been filled in?                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                         |
| 4. Are there any agreed exclusions from the <i>Contract Price</i> ? If so, have the agreed exclusions been included in the table in <a href="#">Clause 5.2</a> ?                                                                                                                                                                                                                                                                                                                                                                               |                         |
| 5. If it is agreed to exclude some fixtures and fittings from the <i>Contract Price</i> , have the exclusions been listed in <a href="#">Clause 5.3</a> ?                                                                                                                                                                                                                                                                                                                                                                                      |                         |
| 6. Has a detailed description of the <i>Work</i> required in <a href="#">Clause 9.3</a> been filled in?                                                                                                                                                                                                                                                                                                                                                                                                                                        |                         |
| 7. Has the <i>Builder</i> provided the <i>Building Owner</i> with a copy of the policy of <i>Domestic Building Insurance</i> , Certificate of Insurance and summary of insurance product as required under <a href="#">Clause 8.4</a> ?                                                                                                                                                                                                                                                                                                        |                         |
| 8. Has the deposit amount in <a href="#">Clause 6.1</a> been filled in?                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                         |
| 9. Has the staged payment of the deposit been calculated and do both the <i>Builder</i> and the <i>Building Owner</i> understand when it is due? The staged payment of the deposit is as follows: <ul style="list-style-type: none"> <li>80% of the deposit when the contract has been signed and a copy of the <i>Domestic Building Insurance</i> policy provided to the <i>Building Owner</i> (see <a href="#">Clause 6.2(a)</a>)</li> <li>20% of the deposit when <i>Work</i> has commenced. (see <a href="#">Clause 6.2(b)</a>)</li> </ul> |                         |
| 10. Has the <i>Builder</i> listed all the documents that form part of the plans and specification documents ( <a href="#">Clause 10.3</a> ) in the <a href="#">Document List Attachment</a> ?                                                                                                                                                                                                                                                                                                                                                  |                         |
| 11. Has the <i>Builder</i> filled in the description of the <i>Foundations Data</i> in <a href="#">Clause 12.2</a> ?                                                                                                                                                                                                                                                                                                                                                                                                                           |                         |
| 12. Have the <i>Builder</i> and the <i>Building Owner</i> completed the General Attachment? (see <a href="#">Clause 12.15</a> and <a href="#">Clause 20.2</a> )                                                                                                                                                                                                                                                                                                                                                                                |                         |
| 13. Has the agreed commencement of <i>Work</i> date (if applicable) in the <i>Contract Details</i> been filled-in in <a href="#">Clause 4</a> ? (see also <a href="#">Clause 13.1</a> )                                                                                                                                                                                                                                                                                                                                                        |                         |

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| Checklist item                                                                                                                                                                                                                                 | Response<br>(Yes or No) |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| 14. Has the <i>Builder</i> estimated and listed the number of days allowed for <i>Inclement Weather</i> , holidays and other delays? (see <a href="#">Clause 14.4</a> )                                                                        |                         |
| 15. Has the <i>Builder</i> identified in <a href="#">Clause 14.5</a> the likely cause of any delay that cannot be estimated as a period of time?                                                                                               |                         |
| 16. Has the <i>Building Owner</i> provided details in <a href="#">Clause 15.1</a> of the likely loss and damage they expect to incur if the <i>Builder</i> fails to complete the <i>Work</i> by the <i>Finish Date</i> ?                       |                         |
| 17. Has the <i>Building Owner</i> stated in <a href="#">Clause 16.1</a> the particular purpose for which the <i>Work</i> is required or the result desired to be achieved?                                                                     |                         |
| 18. Has the <i>Building Owner</i> read and initialled <a href="#">Clause 17.3</a> that relates to the <i>Builder's</i> warranties?                                                                                                             |                         |
| 19. Has the <i>Building Owner</i> made this contract subject to finance and, if so, has the loan amount in the <i>Contract Details</i> in <a href="#">Clause 4</a> been filled in? (see also <a href="#">Clause 19</a> )                       |                         |
| 20. Have the <i>Building Owner</i> and the <i>Builder</i> read and initialled <a href="#">sections 37 and 38</a> of the <i>Act</i> in the <i>Legislation Extracts</i> ? This relates to <i>Variations</i> under <a href="#">Clause 23</a> .    |                         |
| 21. Has the <i>Builder's</i> reasonable margin for <i>Variations</i> , <i>Provisional Sums</i> and <i>Prime Cost Items</i> been specified in the <i>Contract Details</i> in <a href="#">Clause 4</a> ?                                         |                         |
| 22. Have the <i>Building Owner</i> and the <i>Builder</i> read and initialled <a href="#">sections 40(1) and (2)</a> of the <i>Act</i> in the <i>Legislation Extracts</i> ? This relates to progress payments under <a href="#">Clause 7</a> . |                         |
| 23. Are the <i>Building Owner</i> and the <i>Builder</i> both ready to sign and date this contract in <a href="#">Clause 11</a> ?                                                                                                              |                         |

Read, signed and dated by the *Building Owner(s)*

|               |  |
|---------------|--|
| Signature(s): |  |
| Date:         |  |

Read, signed and dated by the *Builder*

|               |  |
|---------------|--|
| Signature(s): |  |
| Date:         |  |

[Form ends]

## Part B: Terms of the contract

This is the commencement of the contract terms

### 1. Definitions

**Clause function:** This clause defines terms used throughout this contract.

In this contract, the following definitions apply, unless the context requires a different meaning:

*Act* means the *Domestic Building Contracts Act 1995*.

*Approval Work* means the work necessary to apply for and obtain the building permits and any prescribed approvals for the *Work* but does not include applying for and obtaining an occupancy permit.

*Builder* means the person, partnership or company named in the *Contract Details* as the *Builder* and includes the *Builder's* employees, agents, contractors, heirs, executors, administrators and permitted assignees and transferees.

*Builder's Representative* means the natural person identified by the *Builder* in the *Contract Details* as authorised to communicate on behalf of the *Builder* with the *Building Owner*.

*Building Owner* means the person, partnership or company named in the *Contract Details* as the *Building Owner* and includes the *Building Owner's* heirs, executors, administrators and permitted assignees and transferees.

*Building Owner's Representative* means the natural person identified by the *Building Owner* in the *Contract Details* as authorised to communicate on behalf of the *Building Owner* with the *Builder*.

*Building Site* means the place where the *Work* is to be carried out and is described in the *Contract Details*.

*Business Day* means a day that is not:

- Saturday or Sunday
- a public holiday in Victoria (whether a whole day or part of a day).

*Completion of Work* means the time when the *Work* is complete in accordance with [Clause 31](#).

*Contract Details* means the contract details set out in [Clause 4](#).

- *Contract Price* means the total amount payable under this contract and includes the amount:
- the *Builder* is to receive and retain under this contract
- the *Builder* is to receive under the contract for payment to any other person
- any third person is to receive (or is reasonably estimated to receive) directly from the *Building Owner* for:
  - conveying to the *Building Site* or connecting or installing services such as gas, electricity, telephone, water and sewerage, or
  - issuing planning and building permits.

The *Contract Price* does not include any amount that the *Builder* excludes in accordance with [Clause 5.2](#).

*Defect* means:

- *Work* that is in breach of a warranty in [Clause 17.1](#)
- *Work* that is not of a standard or quality specified in this contract
- a failure to carry out and complete the *Work* in accordance with, and as required by, the plans and specifications and this contract.

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*Dispute Resolution Procedure* means the dispute resolution procedure set out in [Clause 34](#).

*Domestic Building Dispute* has the [meaning given in section 54 of the Act](#) reproduced in the *Legislation Extracts*.

*Domestic Building Insurance* means the insurance described in [Clause 8.1](#).

*Extension of Time* means a period of postponement of the *Finish Date*.

*Final Completion* has the meaning in [Clause 28.2](#).

*Finish Date* means the date stated in the *Contract Details* as the date when the *Work* will be finished. If no date is stated, *Finish Date* means the date calculated by adding the number of days stated in the *Contract Details* as being required to finish the *Work* to the date of commencement of *Work* set out in [Clause 13.1](#).

*Foundations Data* has the meaning given in [section 30\(3\) of the Act](#) reproduced in the *Legislation Extracts*.

*Inclement Weather* means weather during which it is either not reasonable or not safe to continue the *Work*.

*Legislation Extracts* means the provisions set out in [Part C](#) headed '*Legislation Extracts*', which form part of this contract.

*Lender* means a bank, building society or other financier that lends the *Building Owner* the *Contract Price* or any portion of that amount.

*Loan Approval Date* means the date in the *Contract Details* in [Clause 4](#) that has been nominated by the *Building Owner* as the date by which the *Building Owner* expects a loan application for the purpose of the *Work* will be determined.

*Opinion Procedure* means the opinion procedure set out in [Clause 32](#).

*Penalty Interest Rate* means the interest rate fixed from time to time under section 2 of the *Penalty Interest Rates Act 1983*.

*Prime Cost Item* has the [meaning given in section 3 of the Act](#) reproduced in the *Legislation Extracts*.

*Provisional Sum* has the [meaning given in section 3 of the Act](#) reproduced in the *Legislation Extracts*.

*Variation* means a variation according to law or [Clause 23](#) of this contract (or both).

*Work* means the work required to be carried out under this contract, which is described in [Clause 9.3](#) and described in more detail in the plans and specifications (which are attached to this contract). *Work* does not include *Approval Work*.

## 2. Interpretation

**Clause function:** This clause provides guidance about how the contract is to be interpreted.

- 2.1 In this contract, except where the context makes it clear that another meaning is intended, the following rules apply.
- 2.2 A word (or words) in italics and starting with a capital letter is a defined term for the purposes of this contract. This means it has the meaning outlined in [Clause 1](#) (Note: Legislation is also italicised but should not be read as a defined term).
- 2.3 A reference to a 'Clause' is a reference to one of the numbered Clauses under Part B of this contract.
- 2.4 A reference to an 'Attachment' is a reference to one of the attachments to this contract (the [Document List Attachment](#) and the [General Attachment](#)).
- 2.5 A reference to a person in this contract includes a partnership or a company.
- 2.6 Words suggesting the singular include the plural and vice versa.
- 2.7 Headings, clause function notes and user notes in shaded text boxes are advisory notes only and must not be used to interpret this contract.
- 2.8 A reference to 'include' or 'including' or 'for example' in a list does not mean that items not listed are not included.
- 2.9 In the event of a conflict that cannot be resolved between the drawings and the relevant text, the meaning of the text will take precedence.

## 3. Communication between the *Building Owner* and the *Builder*

**Clause function:** This clause states how the parties to the contract will communicate with each other.

- 3.1 Communication between the parties for the purposes of this contract must be made between the *Builder* and the *Building Owner* or their appointed representatives nominated in [Clause 4](#) in the *Contract Details*.
- 3.2 If the *Building Owner* communicates with the *Builder's Representative* in a way that complies with this contract it means the same as having communicated with the *Builder*. Similarly, if the *Builder* communicates with the *Building Owner's Representative* in a way that complies with this contract it means the same as having communicated with the *Building Owner*.
- 3.3 The *Building Owner* must not give directions to the *Builder's* employees or sub-contractors except as provided in [Clause 3.1](#).
- 3.4 The *Building Owner* can only rely on statements or representations as to any matter concerning the *Work* or its progress that are made by the *Builder* or the *Builder's Representative*. The *Builder* can only rely on statements or representations as to any matter concerning the *Work* that are made by the *Building Owner* or the *Building Owner's Representative*.
- 3.5 Wherever this contract requires the *Building Owner* or the *Builder* to make a demand or claim, serve a notice or document or communicate in connection with this contract, such demand, notice, document or other communication must be written in English and must be legible. As appropriate, such communication may be by the forms that are attached to this contract. Where a demand, claim notice, document or other communication

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is given in person, a written receipt should be given. Otherwise, all communications may be delivered by a method stated in the *Contract Details* (or to a subsequent address, if one is notified subsequently).

### 3.6 Receipt of service

Unless otherwise established by contrary evidence, a demand, claim, notice, document or other communication in connection with this contract is taken to be received at the following times:

- a) if sent by post before 5.00pm on the day of posting:
  - i) the second day after posting, if posted to or from a place within the State of Victoria or an interstate capital city
  - ii) five *Business Days* after posting, if posted to or from a place within another state within Australia other than a capital city
  - iii) 10 *Business Days* after posting, if posted to or from a place outside Australia
- b) if delivered by hand, at the time of delivery, if delivered to the person or left at the person's address nominated in [Clause 4](#) with a person not less than 16 years of age and apparently residing or employed at that place
- c) in the case of a facsimile if sent before 5.00pm on a *Business Day*, on the day it is sent and, if sent later in the day, on the next *Business Day*
- d) in the case of electronic mail, if sent before 5.00pm on a *Business Day*, on the day it is sent and, if sent later in the day, on the next *Business Day*.

## 4. Contract Details

**Clause function:** This clause sets out relevant particulars of the contract.

[Form begins]

### **Building Owner**

|          |  |
|----------|--|
| Name(s): |  |
|----------|--|

Address and address for service of documents

|                                                               |  |
|---------------------------------------------------------------|--|
| Address:                                                      |  |
| Postal address (for service of documents – include postcode): |  |

Contact details

|              |  |
|--------------|--|
| Business:    |  |
| After Hours: |  |
| Mobile:      |  |
| Fax:         |  |
| Email:       |  |

*Building Owner's* preferred method(s) of receipt of a demand, claim, notice, document or other communication in connection with this contract (there are three options – mark the option/s which apply with an X):

|        |  |
|--------|--|
| Mail:  |  |
| Fax:   |  |
| Email: |  |

[Form continues next page]

## Building Contractors Pty Ltd

### ***Building Owner's Representative***

|          |  |
|----------|--|
| Name(s): |  |
|----------|--|

Address and address for service of documents

|                                                               |  |
|---------------------------------------------------------------|--|
| Address:                                                      |  |
| Postal address (for service of documents – include postcode): |  |

Contact details

|              |  |
|--------------|--|
| Business:    |  |
| After Hours: |  |
| Mobile:      |  |
| Fax:         |  |
| Email:       |  |

*Building Owner's Representative's* preferred method(s) of receipt of a demand, claim, notice, document or other communication in connection with this contract (there are three options – mark the option/s which apply with an X):

|        |  |
|--------|--|
| Mail:  |  |
| Fax:   |  |
| Email: |  |

[Form continues next page]

## Building Contractors Pty Ltd

### **Builder**

|          |  |
|----------|--|
| Name(s): |  |
|----------|--|

#### Address and address for service of documents

|                                                               |  |
|---------------------------------------------------------------|--|
| Address:                                                      |  |
| Postal address (for service of documents – include postcode): |  |

|                                             |  |
|---------------------------------------------|--|
| Australian Company Number (if applicable):  |  |
| Australian Business Number (if applicable): |  |

#### Contact details

|              |  |
|--------------|--|
| Business:    |  |
| After Hours: |  |
| Mobile:      |  |
| Fax:         |  |
| Email:       |  |

*Builder's preferred method(s) of receipt of a demand, claim, notice, document or other communication in connection with this contract (there are three options – mark the option/s which apply with an X):*

|        |  |
|--------|--|
| Mail:  |  |
| Fax:   |  |
| Email: |  |

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|                                                                                                                                                   |  |
|---------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Name of registered building practitioner (as shown on the Building Practitioners Board registration card):                                        |  |
| Building Practitioners Board registration number (as shown on the Building Practitioners Board registration card):                                |  |
| Category of <i>Work</i> shown on the registration (as shown on the registration (as shown on the Building Practitioners Board registration card): |  |
| Insurer providing <i>Domestic Building Insurance</i> (DBI):                                                                                       |  |
| DBI Policy number:                                                                                                                                |  |
| Date of issue of policy:                                                                                                                          |  |

[Form continues next page]

## Building Contractors Pty Ltd

### ***Builder's Representative***

|          |  |
|----------|--|
| Name(s): |  |
|----------|--|

Address and address for service of documents

|                                                               |  |
|---------------------------------------------------------------|--|
| Address:                                                      |  |
| Postal address (for service of documents – include postcode): |  |

Contact details

|              |  |
|--------------|--|
| Business:    |  |
| After Hours: |  |
| Mobile:      |  |
| Fax:         |  |
| Email:       |  |

*Builder's Representative's* preferred method(s) of receipt of a demand, claim, notice, document or other communication in connection with this contract (there are three options – mark the option/s which apply with an X):

|        |  |
|--------|--|
| Mail:  |  |
| Fax:   |  |
| Email: |  |

[Form continues next page]

## Building Contractors Pty Ltd

### Building Site

Address

|                              |  |
|------------------------------|--|
| Street address number:       |  |
| Unit number (if applicable): |  |
| Street name:                 |  |
| Suburb:                      |  |
| Postcode:                    |  |

Title details/property identifier

|                                             |  |
|---------------------------------------------|--|
| Volume:                                     |  |
| Folio number:                               |  |
| Lot/plan number:                            |  |
| Other property identifier (please specify): |  |

### Timing

|                                                                                                                                            |  |
|--------------------------------------------------------------------------------------------------------------------------------------------|--|
| Agreed commencement date (If no date is specified here, then the commencement date will be determined under <a href="#">Clause 13.1</a> ): |  |
| <b>Finish Date</b> or number of days required to finish <i>Work</i> once it is commenced under <a href="#">Clause 13.1</a> :               |  |

### Finance

|                                                                                         |  |
|-----------------------------------------------------------------------------------------|--|
| This contract is subject to loan approval (see <a href="#">Clause 19</a> ) (Yes or No): |  |
| Loan amount (if applicable):                                                            |  |
| Name of <i>Lender</i> :                                                                 |  |
| <i>Loan Approval Date</i> :                                                             |  |

## Building Contractors Pty Ltd

### Other

|                                                                             |  |
|-----------------------------------------------------------------------------|--|
| The following <i>Work</i> is to be performed by the <i>Building Owner</i> : |  |
|-----------------------------------------------------------------------------|--|

The *Building Owner's* undertaking to obtain permits and prescribed approvals

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <p><a href="#">Clause 18</a> provides that the <i>Builder</i> will undertake the <i>Approval Work</i> unless otherwise stated. The <i>Builder</i> is exempt from undertaking the <i>Approval Work</i> by ticking the boxes below.</p> <p>The <i>Building Owner</i> will be responsible and so releases the <i>Builder</i> from the obligation under <a href="#">Clause 18.1</a> to obtain the necessary (there are three options – mark the option/s which apply with an X and provide details where applicable):</p> |  |
| planning approval                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |
| building permit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
| other prescribed approval being:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  |

### *Builder's* margin

The margin must be reasonable. A rule of thumb is around 20%.

|                                                                                                                                                                                                                                                                                |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| The <i>Builder's</i> margin for overheads supervision and profit under <a href="#">Clause 23</a> ( <i>Variations</i> ), <a href="#">Clause 24.4</a> ( <i>Provisional Sum item</i> ) and <a href="#">Clause 25.4</a> ( <i>Prime Cost Item</i> ) is (specify percentage margin): |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|

[Form ends]

## 5. Contract Price

**Clause function:** This clause sets out the *Contract Price* for the *Work* and any additional charges that could apply.

5.1 The *Building Owner* will pay the *Contract Price* in accordance with the terms of this contract

[Form begins]

*Contract Price*

|                    |    |
|--------------------|----|
| (amount in words): | \$ |
|--------------------|----|

[Form ends]

### Warning: Changes to the *Contract Price*

The price of this contract may be altered as a result of:

- the actual cost of *Prime Cost Items* and *Work* for which *Provisional Sums* have been specified being more or less than the estimates set out in the contract (see [Clause 24](#) and [Clause 25](#))
- *Variations*, including those required by council or a registered building surveyor (see [Clause 23](#))
- interest on overdue payments (see [Clause 27.2](#)).

Ensure that you fully understand how the clauses dealing with these matters may affect the *Contract Price*.

### Warning to the *Building Owner* as to *Prime Cost Items*

It is always better to get a fixed price for all *Work* – even your fixtures and fittings (for example, type and model of stove or taps). However, some fixtures and fittings may need to be selected after the contract is signed. Alternatively, for fixtures and fittings that are considered a special order, the fixed price for the supply of the goods may not be available at the time of entering into the contract. If these items are specified as *Prime Cost Items*, the *Builder* will allow an amount in the *Contract Price*, which should cover the expected cost of the item.

If the actual cost of the *Prime Cost Item* is more than the amount allowed for, you will have to pay the extra amount. You may also have to pay the *Builder's* margin on the goods as part of that extra amount. If this is intended, the margin should be specified – otherwise it cannot be claimed unless you agree in writing to such an additional amount.

If the *Prime Cost Item* costs less than is allowed for in the contract, the difference should be deducted from the *Contract Price*.

### Warning to the *Building Owner* as to *Provisional Sum Items*

It is always better to get a fixed price for all *Work* and provide sufficient information for the *Builder* to accurately estimate how fittings, fixtures and materials are to be installed. This is critical to minimising the need for *Provisional Sum* items. However, even after making all reasonable inquiries, the *Builder* may not be able at the time of entering into the contract to give a definitive figure for the cost of carrying out a particular *Work* (including the supplying of materials needed to carry out the *Work*). If this *Work* is specified as a *Provisional Sum* item, the *Builder* will allow an amount in the *Contract Price*, which should cover the expected cost of the item.

If the actual *Provisional Sum* cost is more than the amount allowed for, you will have to pay the extra amount. You may also have to pay the *Builder's* margin on the *Provisional Sum* item as part of that extra amount. If this is intended,

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the margin should be specified – otherwise it cannot be claimed unless you agree in writing to such an additional amount.

If the *Provisional Sum* item costs less than is allowed for in the contract, the difference should be deducted from the *Contract Price*.

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5.2 The *Builder* states that the *Contract Price* does not include the amount a third person is to receive (or is reasonably estimated will receive) for any *Work* or thing stated in the table below:

**Clause 5.2 note:** This section is optional. If there are no exclusions from the *Contract Price*, cross out this section.

[Form begins]

| <b>Work or thing not included in the <i>Contract Price</i></b> | <b>Reasonably estimated amount (\$)</b> | <b>Amount or % of <i>Builder</i> profit margin</b> | <b>Name of third person to receive amount</b> |
|----------------------------------------------------------------|-----------------------------------------|----------------------------------------------------|-----------------------------------------------|
| <b>a) Conveying, connecting or installing services:</b>        |                                         |                                                    |                                               |
| • gas                                                          |                                         |                                                    |                                               |
| • electricity                                                  |                                         |                                                    |                                               |
| • telephone                                                    |                                         |                                                    |                                               |
| • water                                                        |                                         |                                                    |                                               |
| • sewerage                                                     |                                         |                                                    |                                               |
| • other                                                        |                                         |                                                    |                                               |
| <b>b) Permits and approvals:</b>                               |                                         |                                                    |                                               |
| • planning                                                     |                                         |                                                    |                                               |
| • building                                                     |                                         |                                                    |                                               |
| • other required permits                                       |                                         |                                                    |                                               |
| • other prescribed approvals                                   |                                         |                                                    |                                               |
| Estimated total cost of excluded items                         |                                         |                                                    |                                               |

[Form ends]

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- 5.3 The *Contract Price* includes the cost of any fixtures or fittings shown in the plans and specifications included in this contract, except for those fixtures or fittings stated in the table below (after the note).

**Clause 5.3 note:** This clause is optional. If the *Contract Price* does not exclude the cost of any fixtures or fittings, cross out this clause. If there are items listed in this table, the *Building Owner* will be required to pay for these items in addition to the *Contract Price*. If there are items in this table, the *Act* requires the *Building Owner* to sign here.

[Form begins]

| Fixtures or fittings not included in the <i>Contract Price</i> | Reference to plans or specifications – page numbers | Estimated price (\$) |
|----------------------------------------------------------------|-----------------------------------------------------|----------------------|
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
|                                                                |                                                     |                      |
| Signature of <i>Building Owner</i> (s):                        |                                                     |                      |

[Form ends]

- 5.4 After signing this contract, the *Contract Price* may only be adjusted in accordance with this contract.
- 5.5 The *Contract Price* includes all taxes (including GST) associated with the *Work*. Any pricing, consideration and progress amounts payable under this contract will be calculated on a GST inclusive basis. This includes any *Variation* under [Clause 23](#).
- 5.6 The *Builder* warrants that the *Contract Price* is based upon *Building Site* inspections and all other investigations that would be undertaken by an experienced and competent builder. It includes the performance of all the necessary ancillary *Work*, inspection of the site and processes that would be undertaken by a builder exercising reasonable care and skill, whether described in the plans and specifications or not, and the provision of all equipment and materials for that purpose.

## Building Contractors Pty Ltd

- 5.7 In the event that the *Builder* wishes to vary the plans and specifications as a result of conditions that could not reasonably have been ascertained from the *Foundations Data*, the *Builder* will apply for any necessary *Variation* under [section 37 of the Act](#).

## 6. Deposit

**Clause function:** This clause sets out the deposit to be paid under the contract.

- 6.1 The total deposit under this contract is 5% of the *Contract Price*, which is equal to:

[Form begins]

|                    |    |
|--------------------|----|
| (amount in words): | \$ |
|--------------------|----|

[Form ends]

[Form begins]

- 6.2 The deposit will be paid as follows:

- 80% of the deposit being (\$ [insert amount here](#) ) will be paid on the *Builder* giving to the *Building Owner* all the documents mentioned in [Clause 8.4](#) relating to *Domestic Building Insurance*
- 20% of the deposit being (\$ [insert amount here](#) ) will be paid within five *Business Days* of the *Building Owner* receiving from the *Builder* a notice that states that the *Builder* has made a substantial commencement of the *Work* and stating the date of such commencement.

[Form ends]

[Form A](#) in Part D of the contract can be used for the purpose of giving this notice.

- 6.3 If the *Building Owner* has paid the *Builder* a deposit that is more than the amount payable to the *Builder* under this clause, the *Builder* must refund the excess to the *Building Owner* within five *Business Days* of receiving the excess amount.

## Clause 6 notes

The *Act* prevents a builder from demanding or receiving, before they commence *Work*, a deposit that is more than 5% of the *Contract Price* if the *Contract Price* is \$20,000 or more. If the *Builder* does not comply with this legislative provision, section 11 of the *Act* enables the *Building Owner* to void the contract at any time before it is completed.

The law also provides that the *Building Owner* must have received a copy of the *Domestic Building Insurance* policy before the deposit is payable.

This contract splits up the deposit so that 80% of the deposit is payable once the *Building Owner* receives the documents relating to *Domestic Building Insurance* identified in [Clause 8.4](#) and the balance is payable when the *Building Owner* receives a notice from the *Builder* advising that building *Work* has substantially commenced.

## 7. Progress payments

**Clause function:** This clause sets out the progress payments under the contract.

- 7.1 At the relevant stages defined in [section 40\(1\) of the Act](#), the *Builder* may demand and recover or retain amounts by way of progress payments for the *Work* done that are not a greater percentage of the *Contract Price* than permitted by section 40 of the *Act*.

**Form J** in Part D of the contract can be used to make a claim for a progress payment.

- 7.2 The *Builder* and the *Building Owner* acknowledge they have read and initialed the terms set out in [sections 40\(1\) and 40\(2\) of the Act](#), reproduced in the *Legislation Extracts*.
- 7.3 The *Building Owner* is not entitled to make deductions from a progress payment because of any claim made by the *Building Owner* against the *Builder* (whether the claim is made under this contract or otherwise).
- 7.4 If the *Builder* claims they cannot complete the *Work* solely for the reason in [Clause 22.1\(d\)](#), the *Builder* may demand and recover a further payment of not more than 5% of the *Contract Price*, less the *Builder's* reasonable estimate of the cost to rectify the *Defect* preventing *Completion of Work*.

### Clause 7 notes

For a description of the stages and percentages allowed, see the [table in section 40 of the Act](#) reproduced in the *Legislation Extracts*.

It is important that the *Building Owner* ensures each of the stages is complete before making a progress payment.

Under this contract, the *Builder* cannot demand, recover or retain more than the legislated percentage of the *Contract Price* for each stage of work.

## Building Contractors Pty Ltd

[Form begins]

**Table of payments and progress payments**

| Type of contract             | % of <i>Contract Price</i> | Amount \$ | Payments and stages |
|------------------------------|----------------------------|-----------|---------------------|
| Contract to build all stages | 5%                         |           | Deposit             |
|                              | 10%                        |           | Base stage          |
|                              | 15%                        |           | Frame stage         |
|                              | 35%                        |           | Lock-up stage       |
|                              | 25%                        |           | Fixing stage        |
|                              | 10%                        |           | Final payment       |
|                              | 100%                       |           | Total               |

[Form ends]

## 8. Domestic Building Insurance

**Clause function:** This clause sets out the requirements for *Domestic Building Insurance*.

- 8.1 The *Builder* must obtain *Domestic Building Insurance* that:
- a) complies with *Domestic Building Insurance* Ministerial Order No. 98 of 23 May 2003 or any subsequent Order that replaces or amends that Ministerial Order before the required *Domestic Building Insurance* is obtained
  - b) covers the *Work* to be carried out under this contract.
- 8.2 The *Builder* must pay the insurance premium for the *Domestic Building Insurance*.
- 8.3 The *Builder* must not enforce any provision of this contract, perform any Domestic Building *Work* under this contract or demand or receive any money (including deposit money) payable under this contract until the *Domestic Building Insurance* policy has been issued.
- 8.4 The *Builder* must give to the *Building Owner* the following documents within seven *Business Days* of the policy of *Domestic Building Insurance* being issued:
- a) a copy of the *Domestic Building Insurance* policy
  - b) the certificate of insurance
  - c) a summary of the insurance product.

### Clause 8 note

The *Building Owner* should not pay the deposit until the *Building Owner* has received the documents relating to *Domestic Building Insurance* identified in [Clause 8.4](#).

## 9. Obligations of the *Builder* and the *Building Owner*

**Clause function:** This clause sets out the obligations of the *Builder* and the *Building Owner*.

- 9.1 The *Builder* will perform the *Work* and any *Approval Work* in accordance with the terms of this contract and according to law.
- 9.2 The *Builder* will apply for and obtain an occupancy permit if required by the building permit.
- 9.3 The following is a description of the *Work*:

Building Contractors Pty Ltd

[Form begins]

**Complete detailed description of the *Work***

Insert a description of what is to be built, for example, construction of a new home, carport, brick fence and landscaping. Include as much information as possible. Further detail of the *Work* is included in the plans and specifications, which form part of this contract.

[Form ends]

## 10. Contract documents

**Clause function:** This clause identifies the documents that form part of the contract.

- 10.1 This contract includes all the writing that follows the words 'This is the Commencement of the contract terms' at the beginning of [Part B](#), including the [Attachments](#) and the [Schedules](#).
- 10.2 The plans and specifications and other documents for the *Work* listed in the [Document List Attachment](#) and the documents referred to in the [General Attachment](#) are part of this contract.
- 10.3 The *Builder* warrants that they have given the *Building Owner* a copy of all the documents that the *Builder* lists in the [Document List Attachment](#).

**Clause 10.3 note:** The *Building Owner* should check that they have received all the documents listed in the [Document List Attachment](#) and keep a copy of these documents for their records.

- 10.4 As soon as is practicable, but no later than five *Business Days* after entering into this contract, the *Builder* must give the *Building Owner* a signed copy of the contract.

## Building Contractors Pty Ltd

[Form begins]

### 11. Signatures

**Clause function:** This clause is where the contract is formally signed.

#### Warning before signing the contract

Warning: The *Building Owner* and the *Builder* should read the checklists in [Part A](#) of this contract to check they are aware of key terms and conditions and have completed all sections before signing this contract.

|                          |  |
|--------------------------|--|
| <i>Building Owner(s)</i> |  |
| Name:                    |  |
| Signature:               |  |
| Name:                    |  |
| Signature:               |  |
| Date:                    |  |

|                                                |  |
|------------------------------------------------|--|
| <i>Builder:</i>                                |  |
| Company name:                                  |  |
| Australian Company Number<br>(if applicable):  |  |
| Australian Business Number<br>(if applicable): |  |

|                    |  |
|--------------------|--|
| Authorised person  |  |
| Name:              |  |
| Signature:         |  |
| Authorised person: |  |
| Date:              |  |

[Form ends]

## 12. General conditions of contract

**Clause function:** This clause outlines important general conditions of the contract.

- 12.1 The *Builder* warrants that before entering into the contract, the *Builder* has complied with each of the *Builder's* obligations under [section 30 of the Act](#) reproduced in the *Legislation Extracts* relating to *Foundations Data* and will continue to do so.
- 12.2 The *Builder* warrants that the following *Foundations Data* has been obtained for the *Building Site* before entering into this contract:

[Form begins]

| Description of <i>Foundations Data</i><br>(e.g. Report, survey, test,<br>computation) | Person or company that provided<br>report | Date issued |
|---------------------------------------------------------------------------------------|-------------------------------------------|-------------|
|                                                                                       |                                           |             |
|                                                                                       |                                           |             |
|                                                                                       |                                           |             |
|                                                                                       |                                           |             |
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|                                                                                       |                                           |             |
|                                                                                       |                                           |             |

[Form ends]

## Building Contractors Pty Ltd

- 12.3 The *Builder* will ensure that the *Building Site* is on the land identified in the title details in the *Contract Details*. If there is any doubt as to the correct location of the boundaries of the *Building Site*, the *Builder* will take all necessary steps to determine the correct position of the boundaries.
- 12.4 The *Builder* may give the *Building Owner* a notice that within 10 *Business Days* after receiving the notice, the *Building Owner* must give the *Builder* satisfactory evidence of the:
- a) *Building Owner's* title to the *Building Site*
  - b) dimensions of the *Building Site*.

**Form B in Part D of the contract can be used for the purpose of giving this notice.**

- 12.5 If the position of the boundaries can only be determined by a licensed land surveyor, the *Builder* must provide a boundary survey. The *Builder* must notify the *Building Owner* of this intention before obtaining the survey, and must give a reasonable estimate of the cost. The *Building Owner* will be responsible for paying the reasonable cost of the survey.

**Form C in Part D of the contract can be used for the purpose of giving this notice.**

- 12.6 If the *Building Owner* fails to provide satisfactory evidence following a request under [Clause 12.4](#), the *Builder* may suspend the *Work* under [Clause 35](#), or take action to terminate this contract under [Clause 37.1](#).
- 12.7 The *Building Owner* may not assign rights and obligations under this contract without the prior written consent of the *Builder*. Similarly, the *Builder* may not assign rights and obligations under this contract without the prior written consent of the *Building Owner*. Such consents required by either party must not be unreasonably withheld.
- 12.8 The *Builder* may sub-contract any part (but not the whole) of the *Work* without the *Building Owner's* consent. If they do so, the *Builder* is not relieved from liability and responsibilities under this contract and the *Builder* must ensure that any sub-contracted *Work* complies with this contract.
- 12.9 The *Building Owner* and the *Builder* must cooperate to enable the other to carry out their obligations under this contract.
- 12.10 Either party may require the other to provide reasonable evidence of capacity to meet the terms of this contract. This request can be made at any time. On receiving such a request, the person must provide that evidence within 10 *Business Days*. Where such evidence is provided, the person who asked for the evidence must pay the reasonable amount of any costs incurred in obtaining and providing it. This amount should be added to, or deducted from, the *Contract Price*.

**Form D in Part D of the contract can be used to make this request.**

- 12.11 The rights, powers and remedies provided in this contract are cumulative with other law. They do not exclude the rights, powers and remedies provided by that law.
- 12.12 The *Building Owner* must notify the *Builder* in writing of any change in details of the *Building Owner's Representative*. There is no requirement to change the *Building Owner's Representative's* details in the *Contract Details*.
- 12.13 The *Builder* must notify the *Building Owner* in writing of any change in details of the *Builder's Representative*. There is no requirement to change the *Builder's Representative's* details in the *Contract Details*.

**Form E in Part D of the contract can be used to notify the other party of a new representative.**

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- 12.14 Where more than one person signs this contract as the *Building Owner*, all such persons will be jointly and severally responsible for the obligations of the *Building Owner* pursuant to the terms of this contract.
- 12.15 The *Building Owner* will supply to the *Builder* each of the items listed in the General Attachment as being provided by the *Building Owner*. Upon the *Builder* giving to the *Building Owner* five *Business Days*' notice that any such item is required by the *Builder*, the *Building Owner* will deliver the item at the *Building Owner's* expense to the place directed by the *Builder* in the notice.

### Clause 12 notes

The *Building Owner* must enable the *Builder* to perform the contract. This includes giving the *Builder* access to the *Building Site*.

The *Building Owner* must also provide the *Builder* with evidence that they own the *Building Site* and that they can pay the *Contract Price* if the *Builder* asks in writing, complying with the contract.

If asked in writing by the *Building Owner*, the *Builder* must show in writing that they can perform the contract. This might mean providing evidence that the *Builder* is solvent, currently registered and insured.

## 13. Commencement of Work

**Clause function:** This clause states how the date of commencement of the *Work* is determined.

13.1 The *Builder*:

- a) will start the *Work* on the date (if any) specified in [Clause 4](#); or
- b) will start the *Work* within 10 *Business Days* of whichever is the latest of:
  - i) the date the *Builder* receives the building permit for the *Work*
  - ii) if the *Lender's* approval is required before the *Work* may proceed, the date the *Builder* receives notice of that approval.

13.2 If the commencement date is to be determined under [Clause 13.1\(b\)](#), the *Builder* will do everything that it is reasonably possible for the *Builder* to do to ensure that the *Work* will start as soon as possible.

## 14. Finish Date

**Clause function:** This clause states how the *Finish Date* is determined.

14.1 The *Builder* will perform the *Work* diligently and at a reasonable speed.

14.2 The *Builder* must complete the *Work* on or before the *Finish Date*.

14.3 If the *Builder* is entitled to an *Extension of Time* under [Clause 22](#), the *Finish Date* will be adjusted by that *Extension of Time*.

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[Form begins]

14.4 In calculating the *Finish Date*, the *Builder* has made the following allowances:

- a) (insert number of) days for *Inclement Weather* and its effect
- b) (insert number of) days for weekend days, public holidays, rostered days off and other foreseeable breaks in the continuity of the *Work*
- c) (insert number of) days for other delays that are reasonable having regard to the nature of the contract.

**Clause 14.4 note:** The *Builder* is required by section 32 of the *Act* to set out how many days they have allowed under each of these categories. Penalties apply for not complying with this legislative requirement.

[Form ends]

[Form begins]

14.5 If it is not possible for the *Builder* to adequately estimate the period of a particular likely delay in [Clause 14.4\(c\)](#), the *Builder* will identify here the likely cause of the delay:

[Form ends]

## 15. Loss or damage incurred by *Building Owner*

**Clause function:** This clause states the loss or damage that will be incurred by the *Building Owner* if the *Work* is not completed by the *Finish Date*.

[Form begins]

- 15.1 The *Building Owner* will set out below the nature of the loss and damage the *Building Owner* expects to incur (as much as this is known) if the *Builder* fails to complete the *Work* by the *Finish Date*:

**Clause 15.1 note:** The *Building Owner* has the opportunity to set out in detail here the type of any likely loss or damage they will incur if the completion of the *Work* is delayed. Examples of likely loss and damage may include rental payments, storage costs and extra travel costs. This alerts the *Builder* to the type of loss and damage that may be incurred and what the *Builder* may be liable for if there is a delay. This is intended to help clarify each party's responsibilities. The *Building Owner* should only indicate, where possible, the type of any loss or damage rather than specific amounts. This clause is not a liquidated damages clause, and does not stop the *Building Owner* from claiming loss or damage for expenses not listed here.

[Form ends]

## 16. Purpose of *Work*

**Clause function:** This clause requires the *Building Owner* to identify their expectations of the *Work*.

[Form begins]

- 16.1 The *Building Owner* relies on the *Builder's* skill and judgment in performing and completing the *Work* for the particular purpose for which the *Work* is required or the result that the *Building Owner* wishes to achieve. The particular purpose or result is stated below so as to show that reliance by the *Building Owner*:

**Clause 16.1 note:** The *Building Owner* has the opportunity to identify what they are expecting to achieve from the *Work*, for example, to build a home with a specific environmental outcome or to build a home that meets the needs of a person with a disability.

[Form ends]

## 17. *Builder's* warranties

**Clause function:** This clause identifies the implied warranties the *Builder* must provide.

17.1 The *Builder* warrants that:

- a) the *Work* will be carried out in a proper and workmanlike manner and in accordance with the plans and specifications set out in this contract

[Form begins]

- b) all materials to be supplied by the *Builder* for use in the *Work* will be good and suitable for the purpose for which the materials are to be used and, unless otherwise stated here, those materials will be new.

Insert below details of any materials to be used that are not new:

[Form ends]

- c) the *Work* and, where undertaken by the *Builder*, the *Approval Work* will be carried out in accordance with, and comply with, all laws and legal requirements including, without limiting the generality of this warranty, the *Building Act 1993* and Regulations made under that *Act*
- d) the *Work* will be carried out with reasonable care and skill and will be completed by the *Finish Date*
- e) the home will be suitable for occupation upon *Completion of Work*
- f) the *Work* and any material used in carrying out the *Work* will be reasonably fit for the purpose or result stated in [Clause 16](#), or will be of such a nature and quality as might reasonably be expected to achieve that result.

17.2 The *Builder* acknowledges that these warranties do not in any way reduce or limit the obligations of the *Builder* in relation to quality, materials or other matters specified in this contract.

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[Form begins]

- 17.3 The *Builder* acknowledges that it is the *Building Owner's* right to be satisfied that the *Work* and, so far as they are applicable to it, the *Approval Work* complies with the warranties set out in [Clause 17.1](#). In the course of doing so, the *Building Owner* may exercise rights of access to the *Building Site* under [Clause 21](#).

|                                                                               |
|-------------------------------------------------------------------------------|
| The <i>Building Owner</i> must initial below that they have read Clause 17.3: |
| <br><br><br><br>                                                              |

[Form ends]

### Clause 17.3 note

The *Building Owner* should consider engaging a competent professional to monitor the progress of the *Work*. This could be an architect, building surveyor, building inspector, construction economist or building engineer or any combination of these persons.

Engaging a competent professional is one way the *Building Owner* can get some assurance that the *Work* carried out complies with this contract. This may help the parties to proactively deal with disagreements over this contract or possible *Defects*.

The *Building Owner*, a person engaged by the *Building Owner* or both, should inspect the *Building Site* at key stages because, once a stage is complete, *Defects* may not be readily visible or ascertainable. The law requires that the *Builder* gives the *Building Owner* or someone authorised by them access to the *Building Site* to view the progress of the *Work*.

If the *Building Owner* relies on the building surveyor (whether private or municipal) who issued the building permit to inspect the *Work*, they should remember that the building surveyor's statutory role is limited: the building surveyor is only responsible for checking that certain minimum standards under the Building Regulations 2006 have been met. To the extent that the standard of *Work* specified in the plans and specifications goes beyond the minimum standards under the Regulations, it is not the building surveyor's statutory role to ensure these contractual standards have been met.

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[Form begins]

17.4 Where the *Builder* made available for inspection a home or a building suitable for use as a home to encourage the *Building Owner* to enter into a contract for the construction of a similar home, the *Builder* will perform the *Work*:

- a) using the same plans and specifications that were displayed in the home made available for inspection except for the following variation to the original plans:

- b) to at least the same standard or *Work* quality and quality of materials used in the construction of the home made available for inspection except for the following:

[Form ends]

## 18. Permits, prescribed approvals and third-party requirements

**Clause function:** This clause identifies the parties' responsibilities for permits, approvals and third-party requirements.

- 18.1 Unless otherwise stated in the *Contract Details*, the *Builder* must perform the *Approval Work*.
- 18.2 The *Builder* must apply for an occupancy permit, if required by the building permit.
- 18.3 If the *Builder* performs the *Approval Work*, any fee or associated charge (or both) incurred as a result of that *Approval Work* by the *Builder* is included in the *Contract Price* unless excluded under [Clause 5.2](#).
- 18.4 Any *Approval Work* will be performed punctually and diligently so that the necessary permits and approvals can be obtained at the earliest practicable date.
- 18.5 If the party responsible for applying for a building permit has not secured its issue within 60 calendar days from the date of this contract, the other party may terminate this contract by giving notice of termination. The terminating party must give that notice within 10 *Business Days* after the 60-day period expires. If this contract is terminated under this clause, the *Building Owner* is liable to pay the *Builder's* reasonable costs incurred in association with the *Approval Work* but no more.

[Form P](#) in Part D of the contract can be used to give notice of termination.

- 18.6 The *Builder* acknowledges the obligation set out in full in section 26 of the *Act* to give the *Building Owner* copies of documents in relation to the *Work*. A [copy of section 26](#) is reproduced in the *Legislation Extracts*.
- 18.7 The *Building Owner* will inform the *Builder* promptly of any requirement, notice or order affecting the *Work* from a statutory authority or *Lender* and will provide the *Builder* with copies of any relevant documents.

### Clause 18 note

A building permit must be issued before the *Work* can commence. Before issuing the building permit, the building surveyor who issues the building permit and is responsible for the required inspections of the *Work* at the required stages, must ensure:

- the building work and the building permit will comply with the *Building Act 1993* and the Building Regulations 2006
- any consent of a reporting authority required under the *Building Act 1993* and the Building Regulations 2006 or under any other *Act* or regulations is obtained
- any relevant planning permit or other prescribed approval has been obtained
- the building permit will be consistent with that planning permit or other prescribed approval.

The default in this contract is for the *Builder* to undertake the *Approval Work*. However, the contract also provides an option for the *Building Owner* to release the *Builder* from any obligation to undertake the *Approval Work*. If the *Building Owner* releases the *Builder* from this obligation the *Building Owner* is responsible for undertaking the *Approval Work* themselves.

If the default is accepted and the *Builder* completes the *Approval Work*, the *Building Owner* is authorising the *Builder* to make any application, appeal, referral or representation under the *Building Act 1993* and any other authorisation required to complete the *Approval Work* on behalf of the *Building Owner*. This could result in the *Builder* choosing the building surveyor for the project. The *Building Owner* must know who the building surveyor is. The building surveyor can be the municipal building surveyor at the council or a private building surveyor.

## 19. Loan approvals

**Clause function:** This clause sets out the parties' obligations if the *Building Owner* takes out a loan for the purpose of the contract.

- 19.1 Unless the *Contract Details* state otherwise, this contract is conditional upon the *Lender* approving, on or before the *Loan Approval Date*, a loan to the *Building Owner* for the purposes of this contract of an amount that is not less than the amount stated for that purpose in the *Contract Details*.
- 19.2 The *Building Owner* must apply to the *Lender* for approval of such a loan within five *Business Days* from the date of this contract and also provide all relevant information required by the *Lender* for the purpose of considering the application.
- 19.3 Within three *Business Days* after the *Loan Approval Date*, the *Building Owner* must give to the *Builder* a notice stating whether the *Lender* has approved or refused to approve the loan.

**Form F** in Part D of the contract can be used for this purpose.

- 19.4 Unless the *Building Owner* notifies the *Builder* within three *Business Days* of the *Loan Approval Date* that the *Lender* has refused to approve the loan, this contract will cease being conditional upon loan approval.
- 19.5 If, on or before three *Business Days* after the *Loan Approval Date*, the *Building Owner* gives the *Builder* notice that the *Lender* has refused to approve the loan, this contract is at an end and, subject to the following sub-clauses, neither the *Builder* nor the *Building Owner* is bound to perform it.
- 19.6 If this contract comes to an end under this clause, the *Builder* must refund to the *Building Owner* any deposit or other money paid by the *Building Owner* to the *Builder* less the amount of any deduction permitted under [Clause 19.7](#). That refund must be paid within 10 *Business Days* of the *Builder* being notified that the *Building Owner's* loan has not been approved.
- 19.7 The *Builder* may deduct the following costs from the refund referred to in [Clause 19.6](#), where the costs were incurred by the *Builder* up to the date the contract was deemed to come to an end and where the costs were previously agreed to be paid by the *Building Owner*:
  - a) \$100.00
  - b) fees paid by the *Builder* to another person for the *Foundations Data*
  - c) fees paid by the *Builder* in relation to *Approval Work*.
- 19.8 At the time of making the refund under [Clause 19.6](#), the *Builder* must provide the *Building Owner* with copies of all documents evidencing the *Builder's* entitlement to any deductions made under [Clause 19.7](#).

## 20. Occupation of the *Building Site*

**Clause function:** This clause sets out the parties' obligations in occupying the *Building Site*.

- 20.1 This contract does not give the *Builder* a greater right to occupy the *Building Site* than that of a contractual licensee. This right includes the right to place materials, equipment and, if the *Building Owner* agrees, signage on the *Building Site*.
- 20.2 Where the *Building Owner* must remain in residence or in occupation of part of the property during the *Work* the following will apply:

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- a) the General Attachment will include a site plan of the property clearly showing the *Building Site*, the portion of the property to be occupied by the *Building Owner* and any common areas that both the *Builder* and the *Building Owner* may need to have access to
- b) the *Builder* will be responsible for providing and maintaining an adequate physical barrier separating the *Building Site* from the remainder of the property.

## 21. Access to the *Building Site*

**Clause function:** This clause sets out the parties' obligations in accessing the *Building Site*.

- 21.1 The *Builder* must do all *Work* necessary to provide access to the *Building Site* for vehicles and other equipment to carry out the *Work*. The *Contract Price* includes the cost of providing this access to the *Building Site*.
- 21.2 Except as provided under [Clause 12.15](#), the *Builder* must bear all costs involved in the delivery of materials to the *Building Site*; the handling of materials; and the removal and disposal from the *Building Site* of the *Builder's* rubbish, surplus material, and demolished or dismantled structural material.
- 21.3 The *Builder* is liable for any damage caused in carrying out the *Work* if that damage was caused by the *Builder's* own negligence or fault. This includes damage caused by the *Work* to kerbs, gutters, paving, underground services, drains, structures or other property whether on the *Building Site* or adjacent to, or abutting, the *Building Site*.
- 21.4 The *Builder* will permit the *Building Owner* or any person authorised by the *Building Owner* (either together or separately) to have reasonable access to the *Building Site* and to view any part of the *Work*.
- 21.5 The *Building Owner*, or persons authorised by the *Building Owner*, will not interfere with the carrying out of the *Work* when accessing the *Building Site* under [Clause 21.4](#).
- 21.6 The *Builder* is not liable for any reasonable costs or delays that result from any person failing to comply with [Clause 21.5](#) provided the *Builder* notifies the *Building Owner* of the cost or delay within five *Business Days* of the failure to comply occurring.

### Clause 21 note

The Act nominates a penalty of 20 penalty units if the *Builder* does not permit the *Building Owner* to have reasonable access to the *Building Site*.

Dangers could exist on the *Building Site*. The *Building Owner* should discuss appropriate occupational health and safety issues with the *Builder* before attending the *Building Site*.

## 22. Extension of Time

**Clause function:** This clause sets out the process for a *Builder* to claim for an *Extension of Time*.

- 22.1 The *Builder* will be entitled to an *Extension of Time* if, for any one or more of the following reasons, the *Builder* is delayed in achieving *Completion of Work* by the *Finish Date*:
  - a) *Inclement Weather* and its effect over and above the amount of days estimated by the *Builder* in [Clause 14.4\(a\)](#)
  - b) an industrial dispute that is not limited to the *Building Site* or to employees of the *Builder*
  - c) anything else that is beyond the reasonable control of the *Builder* and is not the result of the *Builder's* fault

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- d) *Completion of Work* has been reached, except for minor *Defects* that do not prevent the *Work* being used for its purpose and which it is not practical for the *Builder* to rectify for the time being, or as to which the *Builder* has reasonable grounds for delaying the rectification
- e) provided that the *Builder* gives notice to the *Building Owner* as required by [Clause 22.2](#), an act or omission by the *Building Owner* or any person who is in any way acting on the *Building Owner's* behalf or under the *Building Owner's* instruction
- f) a suspension of the *Work* by the *Builder* under [Clause 35](#).

22.2 As soon as practical after the *Builder* becomes aware that it is likely for any reason there will be delay in completing the *Work* by the *Finish Date*, the *Builder* will give the *Building Owner* a notice informing them of the likely delay, its cause and (as far as possible) its likely duration. The *Builder* will keep the *Building Owner* informed about the likely delay, providing adequate information so that the *Building Owner* can assist the *Builder* in avoiding or minimising its effect.

**[Form G](#) in Part D of the contract can be used for the purpose of giving this notice.**

- 22.3 Both the *Builder* and *Building Owner* must take all reasonable steps to avoid or minimise any delay to the progress of the *Work*, whether or not it is likely to cause delay in achieving *Completion of Work*. The *Building Owner* is not obliged to agree to changes or deletions from the plans or specifications to avoid such delay.
- 22.4 If an act or omission by the *Building Owner* is causing, or has caused, delay in the progress of the *Work*, the *Builder* must notify the *Building Owner* in writing of that cause within two *Business Days* of it commencing. This requirement also applies if the delay is caused by a person who is acting on the *Building Owner's* behalf, or under the *Building Owner's* instruction.
- 22.5 The extent of any *Extension of Time* must be fair and reasonable in the circumstances. Circumstances bearing on fairness and reasonableness of such claims include:
- a) the extent to which there is a failure (if any) in meeting an obligation under [Clause 22.2](#), [Clause 22.3](#), and [Clause 22.6](#) and the effect of any such failure
  - b) the cause arising after the *Finish Date*
  - c) the period of any allowance mentioned in [Clause 14.4](#).
- 22.6 If the *Builder* wants to claim an *Extension of Time*, the *Builder* must give the *Building Owner* a claim within 15 *Business Days* after the delay ceases, stating:
- a) the reason for the delay
  - b) the length of the claimed *Extension of Time*.
- 22.7 Within 10 *Business Days* of receiving the *Builder's* claim under [Clause 22.6](#), the *Building Owner* must respond by stating in writing that the *Building Owner* either wholly accepts the *Extension of Time* or disputes wholly or partly the *Extension of Time* to the extent stated in the response.
- 22.8 If the *Building Owner* wholly or partly disputes the *Builder's* claim for an *Extension of Time*, the *Building Owner* must give the *Builder* a written explanation that is sufficiently detailed for the *Builder* to know the basis of the dispute.
- 22.9 If within 10 *Business Days* of receiving the *Builder's* claim for an *Extension of Time* the *Building Owner* does not deliver a written response, the *Finish Date* will be adjusted as set out in the claim.
- 22.10 Where the *Building Owner* accepts the *Builder's* claimed *Extension of Time*, either wholly or partly, the *Finish Date* will be adjusted by the period of the *Builder's* claimed *Extension of Time* that the *Building Owner* accepts.
- 22.11 Any dispute as to the *Builder's* claim for an *Extension of Time* will be dealt with under the *Dispute Resolution Procedure*.

## 23. Variations

**Clause function:** This clause identifies the process for varying the contract.

23.1 The *Builder* and the *Building Owner* acknowledge that the *Work* may be varied at the request of the *Builder* or *Building Owner* on the terms in [sections 37 and 38 of the Act](#) and in this clause.

**Form H** in Part D of the contract can be used to request and approve *Variations*.

23.2 The *Builder* and the *Building Owner* acknowledge having read and initialled the copy of [sections 37 and 38 of the Act](#) reproduced in the *Legislation Extracts*.

**Clause 23.2 note:** It is important that the *Builder* and *Building Owner* are aware of the process that must be followed if they wish to make a *Variation*. This process is outlined in [sections 37 and 38 of the Act](#).

23.3 Before consenting to or requesting a *Variation*, the *Building Owner* may dispute that the *Builder* has stated the *Builder's* reasonable cost, delay or effect. In that event, the dispute will be dealt with under the *Dispute Resolution Procedure*.

**Clause 23.3 note:** [Sections 37 and 38 of the Act](#) may require the *Builder* to provide the *Building Owner* with a notice stating the reasonable cost, delay or effect of a proposed *Variation*.

23.4 Unless agreed in writing between the *Builder* and the *Building Owner*, any adjustments to the *Contract Price* as a result of an approved *Variation* will be taken into account at the time of the next progress payment.

**Clause 23.4 note:** Payment of the *Variation* by the *Building Owner* or reduction of the *Contract Price* by the *Builder* resulting from a *Variation* should only occur at the next progress payment where it is demonstrated that the liability for the *Variation* occurred within the period of the progress payment.

23.5 The *Building Owner* can terminate the contract by notice to the *Builder* stating that the *Building Owner* is unable to meet the cost of the *Variation* because:

- a) the *Variation* is due to a matter that could not reasonably have been expected to be needed for the *Work* to be completed; or
- b) the *Variation* is due to a requirement of an approving authority or any other statutory authority, which was not known at the date of this contract.

The *Building Owner* can use **Form Q** in Part D of the contract to terminate the contract.

23.6 The *Builder* and *Building Owner* intend that any *Variation* in accordance with this clause will be made as though section 39 of the Act applied to it. A [copy of section 39](#) is reproduced in the *Legislation Extracts*.

## 24. Provisional Sums

**Clause function:** This clause sets out the process to be followed if the contract includes *Provisional Sum* items.

24.1 The *Builder* warrants that each *Provisional Sum* included by the *Builder* in the [Provisional Sums Schedule](#) has been calculated with reasonable care and skill, taking account of all the information reasonably available at the date of this contract, including the nature and location of the *Building Site*.

24.2 For each *Provisional Sum* in the *Provisional Sums Schedule*, the *Builder* has set out:

- a) a detailed description of the *Work* to which the *Provisional Sum* relates

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- b) a breakdown of the cost estimate for each *Provisional Sum*, including showing the estimated quantities of materials involved and the unit cost to the *Builder*
- c) where the *Builder* proposes to charge more than the actual amount of any increase to the *Provisional Sum*, how that excess amount will be worked out.

24.3 The *Builder* must give the *Building Owner* reasonable notice of when *Work* included in the *Provisional Sums* Schedule will be done so that the *Building Owner* can verify the actual cost of the *Work*. The *Builder's* notice to the *Building Owner* must state that the *Provisional Sums* may vary in price. If the *Building Owner* attends the *Building Site* to observe that *Work*, the *Builder* must allow the *Building Owner* reasonable access to do so. The *Builder* can proceed with that *Work* without delay at the time specified in the *Builder's* notice even if the *Building Owner* does not attend the *Building Site*.

**Form I** in Part D of the contract can be used for the purpose of giving this notice.

24.4 If the actual cost to the *Builder* is greater than the *Provisional Sum* allowed, the excess amount, together with the *Builder's* margin specified in the *Contract Details*, will be added to the *Contract Price*, along with the additional GST. If the actual cost to the *Builder* is less than the *Provisional Sum* allowed, the *Contract Price* will be reduced by the difference between the *Provisional Sum* allowed, and the actual cost.

**Clause 24.4 note:** The *Builder* and the *Building Owner* should ensure a margin is specified in the *Contract Details*.

24.5 Any addition or deduction under [Clause 24.4](#) will be taken into account in the next progress payment or as agreed between the parties in writing.

## 25. Prime Cost Items

**Clause function:** This clause sets out the process to be followed if the contract includes *Prime Cost Items*.

25.1 The *Builder* warrants that the amount or estimated amount for each *Prime Cost Item* listed in the [Prime Cost Items Schedule](#) is no less than the reasonable cost of supplying the items. This warranty is based on information that the *Builder* had, or reasonably should have had, at the time of making this contract and given the *Builder's* knowledge of the nature and location of the *Building Site*. This warranty does not apply to items to be supplied or specified by the *Building Owner*.

25.2 For each *Prime Cost Item* in the *Prime Cost Items* Schedule, the *Builder* has set out:

- a) a detailed description of the item to which the *Prime Cost Item* relates
- b) a breakdown of the cost estimate for each *Prime Cost Item*, including showing the estimated quantities of materials that will be involved and the unit cost to the *Builder* of the item
- c) where the *Builder* proposes to charge any amount over the actual amount of any increase to the *Prime Cost Item*, how that excess amount is to be determined.

25.3 The *Builder* must give the *Building Owner* reasonable notice of when *Work* included in the *Prime Cost Items* Schedule will be done so that the *Building Owner* can verify the actual cost of the *Work*. The *Builder's* notice to the *Building Owner* must state that the *Prime Cost Item* may vary in price. If the *Building Owner* attends the *Building Site* to observe that *Work* the *Builder* must allow the *Building Owner* reasonable access to do so. The *Builder* can proceed with that *Work* without delay at the time specified in the *Builder's* notice even if the *Building Owner* does not attend the *Building Site*.

**Form I** in Part D of the contract can be used for the purpose of giving this notice.

25.4 If the actual cost to the *Builder* is greater than the *Prime Cost Item* amount allowed, the excess amount, together with the *Builder's* margin specified in the *Prime Cost Item* Schedule, will be added to the *Contract Price*, along with the additional GST. If the actual cost to the *Builder* is less than the *Prime Cost Item* amount

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allowed, the *Contract Price* will be reduced by the difference between the *Prime Cost Item* amount allowed, and the actual cost.

**Clause 25.4 note:** The *Builder* and the *Building Owner* should ensure a margin is specified in the *Contract Details*.

- 25.5 Any addition or deduction under [Clause 25.4](#) will be taken into account in the next progress payment or as agreed between the parties in writing.
- 25.6 Unless otherwise specified, the *Contract Price* includes the installation of each *Prime Cost Item* listed in the *Prime Cost Items Schedule*, as well as its connection to services.

## 26. Evidence of cost of *Prime Cost Items* and *Provisional Sums*

**Clause function:** This clause sets out the *Builder's* requirements for providing evidence of the cost of a *Prime Cost Item* or a *Provisional Sum*.

- 26.1 The *Builder* must give the *Building Owner* a copy of any invoice, receipt or other document that shows the cost to the *Builder* of any *Prime Cost Item*, or that relates to any *Provisional Sum*. The *Builder* must do this as soon as practical after receiving the invoice, receipt or document.

### Clause 26 note

The *Builder* is required by the *Act* to provide the *Building Owner* with copies of any invoice, receipt or document relating to *Prime Cost Items* or *Provisional Sums*.

## 27. Effect of payments and non-payments to the *Builder*

**Clause function:** This clause identifies the impact of non-payment by the *Building Owner*.

- 27.1 The *Builder* and the *Building Owner* acknowledge that if the *Building Owner* fails to pay punctually any amount by the date it is due under this contract to the *Builder*, a *Domestic Building Dispute* exists between the parties.
- 27.2 Once a *Domestic Building Dispute* is resolved, the *Building Owner* must pay the *Builder* interest at the *Penalty Interest Rate* on any overdue amount determined or agreed to be due and owing.
- 27.3 The *Building Owner* may still dispute any matter relating to the *Work* or *Approval Work* even though the *Building Owner* has paid the *Builder* for the *Work* or *Approval Work*.

## 28. *Final Completion* and final payment

**Clause function:** This clause states what the *Builder* must do before demanding final payment and when the *Building Owner* must make final payment.

- 28.1 The *Builder* must not demand final payment under this contract until the *Builder* has achieved *Final Completion*.
- 28.2 *Final Completion* is achieved when the *Builder* has:
- a) achieved *Completion of Work*
  - b) given the *Building Owner* a copy of the occupancy permit under the *Building Act 1993* if the building permit for the *Work* requires the issue of an occupancy permit or, in any other case, a copy of the certificate of final inspection

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- c) handed over to the *Building Owner* all guarantees, instruction manuals and related documents relating to the *Work*; all keys relating to the *Work*; and any permits, certificates or notices relating to the *Work*.

28.3 Unless [Clause 29](#) or [Clause 30](#) applies, the *Building Owner* must make the final payment within five *Business Days* after receiving from the *Builder* a demand that conforms with this clause.

## 29. *Building Owner's recovery for delay, loss, expense or damage*

**Clause function:** This clause states what the *Building Owner* must do to recover loss or damages incurred as a result of a delay in completing the *Work*.

29.1 If there is a delay in completing the *Work* beyond the *Finish Date*, the *Building Owner* is entitled to recover from the *Builder* reasonable loss, expense or damage caused to the *Building Owner* by the delay.

**Clause 29.1 note:** The *Building Owner* will have indicated in [Clause 15.1](#) the nature (so far as known) of any loss or damage they expect to incur if the *Work* is not completed by the *Finish Date*. The *Building Owner* can claim all expenses realised as a result of a loss or damage, incurred under this clause. However, these expenses are not limited only to the types of loss or damage foreshadowed in [Clause 15.1](#). Clause 15.1 is only indicative of the types of loss or damage that may be known at the time of entering into the contract.

[Form K](#) in Part D of the contract can be used to make this claim.

29.2 The *Building Owner* will, within 15 *Business Days* of the *Finish Date*, give to the *Builder* notice that:

- a) the *Building Owner* intends to seek recovery of reasonable loss, expense or damage caused by the delay
- b) details of the that loss, expense or damage, together with copies of relevant documents that support the *Building Owner's* claim.

29.3 During the period of delay, the *Building Owner* will keep the *Builder* informed about material changes in the nature and extent of the loss, expense or damage the *Building Owner* is suffering or is likely to suffer.

29.4 To resolve the *Building Owner's* claim under [Clause 29.2](#), the following procedure applies:

- a) within 10 *Business Days* of receiving the *Building Owner's* claim, the *Builder* must deliver a written response, stating whether the *Builder* accepts the claim wholly or disputes the claim wholly or in part
- b) if the *Builder* wholly or partly disputes the *Building Owner's* claim, the *Builder* must explain in writing why, so that the *Building Owner* has enough information to know the basis of the dispute
- c) any dispute about the *Building Owner's* claim will be dealt with under the *Dispute Resolution Procedure*.

29.5 The amount of the *Building Owner's* claim agreed between the parties or agreed under the *Dispute Resolution Procedure* will be a debt from the *Builder* to the *Building Owner*. This will be deducted from the final payment otherwise due from the *Building Owner* to the *Builder*. If the final payment is insufficient to satisfy the *Building Owner's* claim, the *Builder* will pay the balance to the *Building Owner* within five *Business Days* of the *Building Owner's* claim being agreed.

## 30. *Lender payment*

**Clause function:** This clause identifies the details for payment by the *Lender*.

30.1 If the payments on behalf of the *Building Owner* are to be made by the *Lender*, the *Builder* will accept the usual payment terms (including the need for inspections and certificates) required by the *Lender*.

## 31. Completion of Work

**Clause function:** This clause sets out when *Completion of Work* is achieved.

31.1 The *Work* will be complete when:

- a) it has been fully performed in accordance with this contract, including the plans and specifications forming part of this contract
- b) the *Builder* has made good any damage of the kind referred to in [Clause 21.3](#)
- c) the *Builder* has removed all the *Builder's* rubbish, surplus material and demolished or dismantled structural material from the *Building Site*.

31.2 When the *Builder* is of the opinion that *Completion of Work* has been achieved, the *Builder* must give a notice to the *Building Owner* stating that opinion. Thereafter, the parties will follow the *Opinion Procedure*.

## 32. Completion notifications – *Opinion Procedure*

**Clause function:** This clause states the process the parties will follow when giving an opinion about *Completion of Work*.

32.1 The *Building Owner* must give a notice to the *Builder* within 10 *Business Days* of receiving the *Builder's* opinion that *Completion of Work* has been achieved, that the *Building Owner*:

- a) accepts the opinion, or
- b) does not accept the opinion, giving detailed reasons.

32.2 Unless the *Building Owner* accepts the *Builder's* opinion in the form and time required above:

- a) the *Building Owner* and the *Builder* must meet to resolve the differences between them as to *Completion of Work* and undertake genuine and good faith negotiations based on their contractual rights and obligations within 20 *Business Days* of the *Building Owner's* receipt of the *Builder's* opinion
- b) the *Builder* will record the details of any agreement with the *Building Owner* about what is necessary to achieve *Completion of Work*, including timing of actions to be taken by either of them
- c) If the parties cannot agree or fail to meet, the dispute will be dealt with under the *Dispute Resolution Procedure*

32.3 If the parties agree under [Clause 32.2](#):

- a) the *Builder* must give a further notice to the *Building Owner* when it is of the opinion that *Completion of Work* has been achieved, stating that opinion and giving details of actions since the first notice. The *Building Owner* must give a notice to the *Builder* that the *Building Owner* accepts the resubmitted opinion or, if not, give detailed reasons within five days of receipt
- b) the parties may, if they agree, repeat the steps in [Clause 32.2](#) and [Clause 32.3\(a\)](#)
- c) subject to any right under this contract to suspend or terminate it, if the parties cannot agree that *Completion of Work* has been achieved or do not agree to repeat the *Opinion Procedure*, the dispute will be dealt with under the *Dispute Resolution Procedure*.

[Form L](#) in Part D of the contract can be used by the *Builder* and *Building Owner* in relation to completion notifications.

### Clause 32 note

This clause provides for the *Builder* to notify the *Building Owner* that *Completion of Work* has been reached.

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The *Builder* should be satisfied that all *Work* is completed before providing the *Completion of Work* notice.

The *Building Owner* should be satisfied that the *Work* is complete and is performed in accordance with the contract before accepting the *Builder's* opinion that *Completion of Work* has been achieved. The *Building Owner* may consider engaging a competent professional to assist them to establish *Completion of Work* has been achieved.

### 33. Rectification period and maintenance

**Clause function:** This clause provides for a period after *Final Completion* during which the *Builder* may be obliged to rectify.

- 33.1 The *Builder* must rectify any *Defect* that is apparent in the *Work* as at three calendar months after the date of final payment if the *Building Owner* gives a notice under Clause 33.2 [below].
- 33.2 If the *Building Owner* requires the *Builder* to rectify a *Defect*, the *Building Owner* must give the *Builder* a notice (called here a *Defect Rectification Request*) within 10 *Business Days* of the expiry of the three calendar month period.
- 33.3 If the *Building Owner* gives the *Builder* a *Defect Rectification Request*, the *Builder* must give a written response to the *Building Owner* stating what the *Builder* agrees to rectify and does not agree to rectify in the Request at the *Builder's* cost, within 10 *Business Days*.
- 33.4 Unless the *Builder* has reasonable grounds for being unable to do so, the *Builder* must rectify the item or items within 20 *Business Days* from receiving the *Defect Rectification Request*.
- 33.5 If a dispute arises between the parties as to whether there is a *Defect* or as to the extent of the *Defect* or whether the *Defect* has been rectified so as to accord with the contract, the dispute will be dealt with under the *Dispute Resolution Procedure*.
- 33.6 The *Building Owner* must give the *Builder* reasonable access to the *Building Site* for the purpose of rectifying a *Defect*.

[Form M](#) in Part D of the contract can be used to give notice of Defects.

#### Clause 33 note

The *Building Owner* still has a right to make claims for *Defects* beyond the rectification period.

### 34. Dispute Resolution Procedure

**Clause function:** This clause sets out the process to be followed when a matter under this contract is in dispute.

- 34.1 If a dispute arises, the *Builder* and the *Building Owner* will take the following steps before resorting to the procedures set out in Part 3A (Conciliation of Disputes) and Part 4 (Inspectors) of the Act:
  - a) If the *Building Owner* or *Builder* considers that a dispute has arisen about any matter covered by this contract, that party must promptly give the other notice of the dispute. The notice should identify both the matter and the claim being made. Matters can be those that arose during the progress of the *Work*, arose after *Completion of Work* or arose after the contract was terminated.

[Form N](#) in Part D of the contract can be used to give this notice.

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- b) The *Builder* and the *Building Owner* will then arrange a meeting and will negotiate in an honest and genuine attempt to resolve the dispute. The *Builder's Representative* or the *Building Owner's Representative* can represent their principal for that purpose only if they have been authorised in writing.
- 34.2 If the dispute is not resolved within 10 *Business Days*, the parties may lodge a complaint with Building Advice and Conciliation Victoria or ask for an inspector to be appointed under the *Act*.
- 34.3 Where a dispute exists, each of the parties must continue to perform its obligations under this contract unless the other party evinces an intention not to comply with this clause.

### Clause 34 note

See the [Consumer Affairs Victoria website](#) or call 1300 55 75 59 for details of the Building Advice and Conciliation Victoria process.

## 35. Suspension of Work by the *Builder*

**Clause function:** This clause states the process to be followed when the *Builder* intends to suspend the *Work*.

- 35.1 After giving five *Business Days'* notice (called here 'Suspension notice') of its intention to do so, the *Builder* may suspend the *Work* if the *Building Owner* fails to do any of the following things in accordance with the terms of this contract:
  - a) provide satisfactory evidence of title to the *Building Site* after being required to do so under [Clause 12.4](#)
  - b) pay any amount due and payable to the *Builder*
  - c) provide satisfactory evidence of its capacity to pay the *Contract Price*, including any *Variations*, after being required to do so under [Clause 12.10](#)
  - d) provide the *Builder* or the *Builder's* sub-contractors access to the *Building Site*.
- 35.2 The Suspension notice must specify clearly the failure or failures that caused the *Builder* to give it.
- 35.3 If the *Building Owner* remedies the failure or failures specified in the Suspension notice after the *Builder* has suspended the *Work*, unless the *Builder* has already terminated this contract, the *Builder* will recommence the *Work* within 10 *Business Days* after the remedy of the failure or failures.
- 35.4 If the *Builder* suspends the *Work* under this clause, the *Builder* will be entitled to recover from the *Building Owner* any cost, loss expense or damage caused by the suspension.
- 35.5 The right to suspend under this contract is in addition to any other powers, rights or remedies the *Builder* may have under common law and does not restrict them in any way.

## 36. Consequences of insolvency

**Clause function:** This clause deals with what can be done if the *Builder* or the *Building Owner* has serious financial trouble.

- 36.1 If a party to this contract does any of the following things:
  - a) commits an act of bankruptcy
  - b) is made bankrupt
  - c) assigns assets for the benefit of creditors generally
  - d) makes a composition or other arrangement with creditors
  - e) goes into liquidation or receivership or otherwise loses full capacity

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- f) the other party may, at its option, immediately suspend or terminate this contract by giving a notice stating that it is doing so.

**[Form P \(Builder\)](#) or [Form Q \(Building Owner\)](#) in Part D of the contract can be used for the purpose of terminating the contract.**

36.2 The notice under this clause must specify clearly the act or acts that caused it to be given.

36.3 The right to suspend or terminate under this contract is in addition to any other powers, rights or remedies the suspending or terminating party may have under common law and does not restrict them in any way.

### 37. Termination after notice of default

**Clause function: This clause sets out the process the parties will follow to terminate the contract if a party is in breach of this contract.**

**[Form P \(Builder\)](#) or [Form Q \(Building Owner\)](#) in Part D of the contract can be used for the purpose of terminating the contract.**

37.1 If the *Building Owner* or the *Builder* is in substantial breach of this contract, the other party may give a notice clearly identifying the breach and stating that party's intention to terminate this contract if the breach is not remedied within five *Business Days*. If the breach is not remedied within that time, the party giving the notice may terminate this contract.

37.2 To terminate this contract a further notice must be given to the party in breach clearly identifying the breach and stating the contract is terminated, effective at the time stated in the notice.

37.3 The right to terminate under this clause is in addition to any other powers, rights or remedies the terminating party may have under common law and does not restrict them in any way.

37.4 Substantial breach by the *Building Owner* includes, without reasonable cause, the *Building Owner*:

- a) failing to provide satisfactory evidence of title to the *Building Site* after being required to do so under [Clause 12.4](#)
- b) failing to pay any amount due and payable to the *Builder*
- c) failing to provide satisfactory evidence of the *Building Owner's* capacity to pay the *Contract Price*, including any *Variations* after being required to do so under [Clause 12.10](#)
- d) continually failing to provide the *Builder* or the *Builder's* sub-contractors access to the *Building Site*
- e) substantially or persistently obstructing the *Builder* in the performance of the *Work*
- f) failing to perform or progress the *Approval Work* in accordance with this contract.

37.5 Substantial breach by the *Builder* includes, without reasonable cause, the *Builder*:

- a) failing to perform or progress the *Work* or the *Approval Work* in accordance with this contract
- b) failing to provide materials that comply with this contract
- c) unreasonably failing to replace or remedy defective *Work* or materials
- d) failing to take out or maintain any insurance required by this contract.

## 38. Termination other than after notice of default

**Clause function:** This clause states the grounds upon which a contract can be terminated.

38.1 The *Building Owner* and the *Builder* acknowledge that [section 41 of the Act](#) sets out when and how the *Building Owner* may end this contract if, on the day this contract was entered into, the *Builder* could not reasonably have foreseen that either:

- a) the *Contract Price* would rise by 15% or more after this contract was entered into; or
- b) the contract would not be completed within one and a half (1.5) times the period by which it was to have been completed.

A copy of [section 41 of the Act](#) is reproduced in the *Legislation Extracts*.

38.2 In addition to the circumstances set out in section 41(1) of the *Act*, the *Building Owner* may end this contract if there is the increased time or cost stated in [Clause 38.1](#) as a result of a *Variation* requirement within [section 37\(2\)\(b\)](#) of the *Act*.

[Form P \(Builder\)](#) or [Form Q \(Building Owner\)](#) in Part D of the contract can be used for the purpose of terminating the contract.

## 39. Builder's entitlement at termination

**Clause function:** This clause states the grounds upon which the *Builder* can be paid for the *Work* performed up to the time the contract is terminated.

39.1 If the contract is terminated the *Builder* is entitled to:

- a) payment in accordance with this contract for any completed stages
- b) the reasonably incurred cost of the *Work* done since the last stage was completed, exclusive of any *Work* done for rectification of *Defects* and the cost of any unfixed materials or goods on the *Building Site*, together with the *Builder's* margin specified in the *Contract Details* and GST payable.

39.2 The *Builder's* entitlement under [Clause 39.1](#) is limited to an amount that does not cause the total amount to be paid to the *Builder* under this contract, exclusive of any claim under [Clause 40.1\(b\)](#), to exceed the *Contract Price*.

## 40. Consequences of termination by the *Builder*

**Clause function:** This clause sets out the *Builder's* rights if the *Builder* terminates the contract.

40.1 If the *Builder* terminates this contract, the *Builder* may:

- a) remove from the *Building Site* and retain all unfixed materials, goods, plant and equipment provided by the *Builder*. In the event that any unfixed materials, goods, plant or equipment provided by the *Builder* are not collected, the *Building Owner* must dispose of such materials, goods, plant or equipment according to law
- b) recover from the *Building Owner* the amount of all cost, loss and damage incurred by the *Builder* as a result of the termination and the act or default that gave rise to it. The *Builder* may set off any such amount against any money owing by the *Builder* to the *Building Owner* under this contract.

[Form P \(Builder\)](#) or [Form Q \(Building Owner\)](#) in Part D of the contract can be used for the purpose of terminating the contract.

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40.2 The *Builder* will, within 20 *Business Days* of notifying the *Building Owner* that the contract is terminated, submit to the *Building Owner*:

- a) any claim that the *Builder* asserts for *Work* performed by it prior to the termination of this contract and for which the *Builder* has not been paid. The *Builder's* entitlement to claim for *Work* performed by it prior to the termination of this contract and for which the *Builder* has not been paid is identified in [Clause 39](#)
- b) any claim that the *Builder* asserts the *Builder* is entitled to under [Clause 40.1\(b\)](#).

### Notification to building surveyor of termination of contract

The *Building Act 1993* requires the *Building Owner* and the *Builder* to each notify the building surveyor for the *Work* within 14 days after the engagement of the *Builder* ends by termination of the contract. Failure to perform this notification can incur a maximum penalty of 10 penalty units.

The *Building Owner* should discuss with the building surveyor the capacity to continue the *Work* once the contract is terminated with the *Builder* and the process required for notification of appointment of a subsequent *Builder*.

If the *Building Owner* does not intend to complete the *Work*, either by appointing another builder or completing the *Work* themselves, the *Building Owner* should discuss with the building surveyor how this affects compliance with the requirements of the *Building Act 1993* and any subsequent prescribed approval.

### 41. Consequences of termination by the *Building Owner*

**Clause function:** This clause sets out the *Building Owner's* rights if the *Building Owner* terminates the contract.

41.1 If the *Building Owner* terminates this contract, the *Building Owner* is entitled to recover from the *Builder* the amount of all cost, loss and damage incurred by the *Building Owner* as a result of the termination and the act or default that gave rise to it. The *Building Owner* may set off any such amount against any money owing by the *Builder* to the *Building Owner* under this contract.

**Form P (Builder) or Form Q (Building Owner) in Part D of the contract can be used for the purpose of terminating the contract.**

41.2 If the *Building Owner* terminates this contract, the *Building Owner* may, by itself, or by others, complete the *Work* and take and use all unfixed materials, goods, plant and equipment that the *Building Owner* has previously provided at the *Building Site*.

41.3 If the *Building Owner* terminates this contract, the *Builder* may:

- a) remove from the *Building Site* and retain all unfixed materials, goods, plant and equipment provided by the *Builder*. In the event that any unfixed materials, goods, plant or equipment provided by the *Builder* are not collected, the *Building Owner* must dispose of such materials, goods, plant or equipment according to law
- b) recover from the *Building Owner* the amount of all cost, loss and damage incurred by *Builder* as a result of the termination and the act or default that gave rise to it. The *Builder* may set off any such amount against any money owing by the *Builder* to the *Building Owner* under this contract.

**Note re [Clause 40.1\(a\)](#) and [Clause 41.3 \(a\)](#) – Uncollected or abandoned goods:** Situations can arise where the *Builder* does not collect the unfixed materials, goods, plant and equipment provided by the *Builder* and the unfixed materials, goods, plant and equipment could be considered to be abandoned. There are specific laws relating to the disposal of uncollected goods. These laws require the *Building Owner* to take care of the unfixed materials, goods, plant and equipment provided by the *Builder* until they are collected by the *Builder*, delivered to the *Builder*, or disposed of according to law. The law outlines procedures for the disposal of uncollected goods. A building owner who fails to

## Building Contractors Pty Ltd

follow these procedures may be liable for the loss of the uncollected goods. It is best if the *Building Owner* seeks professional advice at their own cost, before disposing of or taking possession of the uncollected goods.

- 41.4 The *Builder* must submit to the *Building Owner* any claim for *Work* performed by it prior to the termination of this contract for which the *Builder* has not been paid within 20 *Business Days* of being notified by the *Building Owner* that the contract is terminated. The *Builder's* entitlement to claim for *Work* performed by it prior to the termination of this contract and for which the *Builder* has not been paid is identified in [Clause 39.1](#) and [Clause 39.2](#).
- 41.5 The *Building Owner* will give notice to the *Builder* stating whether the *Building Owner* intends to complete the *Work* within 20 *Business Days* of receiving the *Builder's* claim under [Clause 41.4](#).
- 41.6 If the *Building Owner* gives notice that the *Building Owner* does not intend to complete the *Work*, the *Building Owner* must calculate the total amount of cost, loss, expense or damage that the *Building Owner* has reasonably incurred as a result of the termination and the act or default that gave rise to it.
- 41.7 The *Building Owner* must give the *Builder* a notice stating that total amount within 20 *Business Days*. The notice must include a statement showing clearly how the total amount is made up and include copies of any relevant documents.
- 41.8 If the *Building Owner* gives notice stating that the *Building Owner* intends to complete the *Work*:
- a) the *Builder* is not entitled to any further payment under this contract until the *Building Owner* completes the *Work*
  - b) upon completing the *Work*, the *Building Owner* must calculate the total amount of the cost of completing the *Work*, together with any other cost, loss, expense or damage that the *Building Owner* has reasonably incurred owing to the termination and the act or default that gave rise to it
  - c) if the total amount stated in the notice exceeds the *Contract Price*, the *Builder* must pay the difference to the *Building Owner* within 20 *Business Days* after receiving the notice
  - d) if the total amount stated in the notice is less than the *Contract Price*, the *Building Owner* must pay the difference to the *Builder* within 20 *Business Days* of giving the notice to the *Builder*
  - e) the *Building Owner* must give the *Builder* a notice stating the total amount. The notice must include a statement showing clearly how the total amount is made up and include copies of any relevant documents.

## 42. Insurance

**Clause function:** This clause sets out requirements for insurance other than *Domestic Building Insurance*.

- 42.1 Before commencing the *Work* and until *Completion of Work* has been reached and agreed to by the *Building Owner* or affirmed in any *Dispute Resolution Procedure*, the *Builder* must take out and maintain the following insurances for the benefit of the *Building Owner* and the *Builder*:
- a) public liability insurance for at least \$5 million to cover death or personal injury to third parties or damage to property
  - b) property damage insurance appropriate for the *Work*, including work in progress, any associated temporary work and materials on the site. This insurance must cover full reinstatement and replacement costs, including the costs of removing debris, demolition, architect's fees and other consultants' fees: this must be at least 100% of the estimated reinstatement and replacement costs. This insurance must include cross-liability provisions by which the insurer waives all rights of subrogation or action that the insurer may have against any of the persons comprising the insured and by which each person comprising the insured is deemed to be the subject of a separate policy of insurance. This insurance must cover loss by accident, theft, fire, explosions, vandalism, civil unrest and acts of God.

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**Clause 42.1 note:** The *Builder* is required by [Clause 42.1](#) to take out public liability insurance and property damage insurance appropriate for the *Work*. If the *Builder* fails to take out this insurance, this clause enables the *Building Owner* to take out these insurances and deduct the cost from the *Contract Price*. Alternatively, the *Building Owner* may choose to terminate the contract under [Clause 37.5](#).

- 42.2 On settlement of any claim for damage to the *Work*, the *Builder* must diligently proceed to rebuild, replace or repair the *Work*. In doing so, the *Builder* is not entitled to any payment other than that received from the insurer.
- 42.3 Whenever asked by the *Building Owner*, the *Builder* must show evidence that the *Builder* has obtained the insurances mentioned in [Clause 42.1](#), within 10 *Business Days*. Such evidence must include properly completed certificates showing the insurance is current and copies of the relevant policies. If the *Builder* fails to provide the evidence, or if the *Builder* does not take out any of the required insurances, the *Building Owner* may arrange the insurance and deduct the cost from payments then or subsequently due to the *Builder*.
- 42.4 The *Builder* indemnifies the *Building Owner* against any liability or loss, which may result from carrying out the *Work*. This indemnity covers loss for death or personal injury or property damage including damage to, or loss of, goods or materials on site including the *Work*. However, if such liability or loss arises in whole or in part through the fault of the *Building Owner* or *Building Owner's* agents, the extent of the *Builder's* indemnity may be reduced according to law to the extent that such fault contributed to the liability or loss.

## 43. Copyright

**Clause function:** This clause identifies the legal use of plans and specifications.

- 43.1 Any party supplying plans and specifications or either for the purpose of the *Work* warrants that they may be used without breach of any legal or equitable right and indemnifies the other party against any claim in respect of their use.
- 43.2 Where plans are drawn by the *Builder*, the *Building Owner* agrees that the *Builder* has copyright in those plans. The *Building Owner* has the right to have the *Works* completed in accordance with those plans if the *Builder's* employment is terminated under this contract for any reason.

## Document List Attachment

All plans and specifications for *Work* to be done under this contract must be listed below, as they form part of this contract.

[Form begins]

### Plans

| Designer                        | Drawing No. or Job No. | Sheet No. | Revision No. |
|---------------------------------|------------------------|-----------|--------------|
| E.g. Smith and Jones Architects | 092345                 | 1         | C            |
|                                 |                        |           |              |
|                                 |                        |           |              |
|                                 |                        |           |              |
|                                 |                        |           |              |

### Specifications

| Designer     | Drawing No. or Job No. | Sheet No. | Revision No. |
|--------------|------------------------|-----------|--------------|
| E.g. Natspec | 092345                 | 1-52      | A            |
|              |                        |           |              |
|              |                        |           |              |
|              |                        |           |              |
|              |                        |           |              |

[Form ends]

Other relevant contract documents:

General Attachment

[Form begins]

Relates to [Clause 12.15](#) and [Clause 20.2](#) of the contract

The *Building Owner* will supply to the *Builder* each of the following items:

Attached is a site plan showing the areas to be occupied by the *Builder*, the *Builder* Owner and common areas.

[Form ends]

## Provisional Sums Schedule

(Relates to [Clause 24](#))

*Provisional Sums* are estimates of the cost of carrying out particular *Work* (including the cost of supplying any materials needed for the *Work*) under the contract for which the *Builder*, after making all reasonable enquiries, cannot give a definite amount at the time the contract is entered into.

The *Builder* must calculate each sum included in this schedule with reasonable care and skill, taking account of all the information reasonably available at the date of this contract, including the nature and location of the *Building Site*.

If the actual cost to the *Builder* is greater than the estimate in this table, the excess amount, together with the *Builder's* margin on the excess, will be added to the *Contract Price*. This margin is to cover overheads, supervision and profit. The *Builder's* margin is set out in the *Contract Details* in [Clause 4](#).

[Form begins]

| Detailed description of the Work to which the <i>Provisional Sum</i> relates | Unit cost | Quantity | Total estimated cost of Sum |
|------------------------------------------------------------------------------|-----------|----------|-----------------------------|
|                                                                              |           |          |                             |
|                                                                              |           |          |                             |
|                                                                              |           |          |                             |
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[Form ends]

## Prime Cost Items Schedule

(Relates to [Clause 25](#))

*Prime Cost Items* are items (for example, fixtures or fittings) that either have not been selected, or for which the price is not known, at the time the contract is entered into and for the cost of supply and delivery of which the *Builder* must make a reasonable allowance in the contract.

The *Builder* must calculate each item included in this schedule with reasonable care and skill, taking account of all the information reasonably available at the date of this contract, including the nature and location of the *Building Site*.

If the actual cost to the *Builder* is greater than the estimate in this table, the excess amount, together with the *Builder's* margin on the excess will be added to the *Contract Price*. This margin is to cover overheads, supervision and profit. The *Builder's* margin is set out in the *Contract Details* in [Clause 4](#).

[Form begins]

| Detailed description of the <i>Prime Cost</i><br>(e.g. fixtures and fittings) | Unit cost | Quantity | Total estimated cost<br>of Sum |
|-------------------------------------------------------------------------------|-----------|----------|--------------------------------|
|                                                                               |           |          |                                |
|                                                                               |           |          |                                |
|                                                                               |           |          |                                |
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[Form ends]

## Part C: Legislation Extracts

### Clause 1: Definitions

#### Definitions extracted from sections 3, 30 and 54 of the Act

*builder* means a person who, or a partnership which –

- (a) carries out domestic building work; or
- (b) manages or arranges the carrying out of domestic building work; or
- (c) intends to carry out, or to manage or arrange the carrying out of, domestic building work.

*building owner* means the person for whom domestic building work is being, or is about to be, carried out.

*contract price* means the total amount payable under a domestic building contract and includes –

- (a) the amount the builder is to receive and retain under the contract; and
- (b) the amount the builder is to receive under the contract for payment to any other person; and
- (c) the amount any third person is to receive (or it is reasonably estimated will receive) directly from the building owner in relation to the domestic building work to be carried out under the contract –
  - (i) for conveying to the building site or connecting or installing services such as gas, electricity, telephone, water and sewerage; or
  - (ii) for the issue of planning or building permits –

but does not include any amount that the builder excludes in accordance with section 24.

*domestic building dispute* is a dispute or claim arising –

- (a) between a building owner and –

- (i) a builder; or
  - (ii) a building practitioner (as defined in the *Building Act 1993*); or
  - (iii) a sub-contractor; or
  - (iv) an architect –

in relation to a domestic building contract or the carrying out of domestic building work; or

- (b) between a builder and –

- (i) another builder; or
  - (ii) a building practitioner (as defined in the *Building Act 1993*); or
  - (iii) a sub-contractor; or
  - (iv) an insurer –

in relation to a domestic building contract or the carrying out of domestic building work; or

- (c) between a building owner or a builder and –

- (i) an architect; or
  - (ii) a building practitioner registered under the *Building Act 1993* as an engineer or draftsman –

in relation to any design work carried out by the architect or building practitioner in respect of domestic building work.

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- (2) For the purposes of subsection (1), a dispute or claim includes any dispute or claim in negligence, nuisance or trespass but does not include a dispute or claim related to a personal injury.
- (3) A reference to a building owner in this section includes a reference to any person who is the owner for the time being of the building or land in respect of which a domestic building contract was made or domestic building work was carried out.

*foundations data* means –

- (a) the information concerning the building site that a builder exercising reasonable care and skill would need to prepare –
- (i) a proper footings design for the site; and
  - (ii) an adequate estimate of the cost of constructing those footings; and
- (b) any reports, surveys, test results, plans, specifications, computations or other information required by the regulations for the purposes of section 30 of the *Act*.

*prime cost item* means an item (for example, a fixture or fitting) that either has not been selected, or whose price is not known, at the time a domestic building contract is entered into and for the cost of supply and delivery of which the builder must make a reasonable allowance in the contract.

*provisional sum* is an estimate of the cost of carrying out particular work (including the cost of supplying any materials needed for the work) under a domestic building contract for which a builder, after making all reasonable inquiries, cannot give a definite amount at the time the contract is entered into.

## Clause 7: Progress payments

### Section 40 – Limits on progress payments

[Form begins]

|                                              |  |
|----------------------------------------------|--|
| Initial here that you have read Clause 40(1) |  |
| <i>Building Owner:</i>                       |  |
| <i>Builder</i>                               |  |

[Form ends]

- (1) In this section –

*base stage* means –

- (a) in the case of a home with a timber floor, the stage when the concrete footings for the floor are poured and the base brickwork is built to floor level;
- (b) in the case of a home with a timber floor with no base brickwork, the stage when the stumps, piers or columns are completed;
- (c) in the case of a home with a suspended concrete slab floor, the stage when the concrete footings are poured;
- (d) in the case of a home with a concrete floor, the stage when the floor is completed;
- (e) in the case of a home for which the exterior walls and roof are constructed before the floor is constructed, the stage when the concrete footings are poured.

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*frame stage* means the stage when a home's frame is completed and approved by a building surveyor.

*lock-up stage* means the stage when a home's external wall cladding and roof covering is fixed, the flooring is laid and external doors and external windows are fixed (even if those doors or windows are only temporary).

*fixing stage* means the stage when all internal cladding, architraves, skirting, doors, built-in shelves, baths, basins, troughs, sinks, cabinets and cupboards of a home are fitted and fixed in position.

[Form begins]

|                                              |  |
|----------------------------------------------|--|
| Initial here that you have read Clause 40(2) |  |
| <i>Building Owner:</i>                       |  |
| <i>Builder</i>                               |  |

[Form ends]

- (2) A builder must not demand or recover or retain under a major domestic building contract of a type listed in column 1 of the Table more than the percentage of the contract price listed in column 2 at the completion of a stage referred to in column 3.

Penalty: 50 penalty units.

- (3) In the case of a major domestic building contract that is not listed in the Table, a builder must not demand or receive any amount or instalment that is not directly related to the progress of the building work being carried out under the contract.

Penalty: 50 penalty units.

- (4) Subsections (2) and (3) do not apply if the parties to a contract agree that it is not to apply and do so in the manner set out in the regulations.

- (5) If a court finds proven a charge under subsection (2) or (3) against a builder, it may order the builder to refund to the building owner some or all of the amount the building owner has paid the builder under the contract.

- (6) This power is in addition to the power the court has to impose any other penalty.

- (7) Despite section 7, this section does not apply to a contract between a builder and the Crown or a public statutory authority.

**Table: Limits on progress payments**

| Type of contract                   | Percentage of contract price | Stage       |
|------------------------------------|------------------------------|-------------|
| Contract to build to lock-up stage | 20%                          | Base stage  |
|                                    | 25%                          | Frame stage |

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| Type of contract                  | Percentage of contract price | Stage         |
|-----------------------------------|------------------------------|---------------|
| Contract to build to fixing stage | 12%                          | Base stage    |
|                                   | 18%                          | Frame stage   |
|                                   | 40%                          | Lock-up stage |
| Contract to build all stages      | 10%                          | Base stage    |
|                                   | 15%                          | Frame stage   |
|                                   | 35%                          | Lock-up stage |
|                                   | 25%                          | Fixing stage  |

### Clause 12: General conditions of contract

#### Section 30 – Builder must obtain information concerning foundations

- (1) This section applies if proposed domestic building work under a major domestic building contract will require the construction or alteration of the footings of a building, or may adversely affect the footings of a building.
- (2) Before entering into the contract, the builder must obtain foundations data in relation to the building site on which the work is to be carried out.  
  
Penalty: 50 penalty units.
- (3) In this section foundations data means –
  - (a) the information concerning the building site that a builder exercising reasonable care and skill would need to prepare –
    - (i) a proper footings design for the site; and
    - (ii) an adequate estimate of the cost of constructing those footings; and
  - (b) any reports, surveys, test results, plans, specifications, computations or other information required by the regulations for the purposes of this section.
- (4) In deciding whether he, she or it has obtained all the information required by subsection (2), a builder must have regard to –

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- (a) the relevant standards published by Standards Australia<sup>1</sup>; and
  - (b) the need for a drainage plan or engineer's drawings and computations; and
  - (c) the need for information on the fall of the land on the site.
- (5) It is not necessary for a builder to commission the preparation of foundations data under this section to the extent that such data already exists and it is reasonable for the builder to rely on that data.
- (6) A builder must give a copy of any foundations data obtained by the builder to the building owner (unless the building owner supplied the data to the builder) on payment by the building owner of the amount owing in relation to the obtaining of that data by the builder.
- Penalty: 10 penalty units.
- (7) After entering into a major domestic building contract, a builder cannot seek from the building owner an amount of money not already provided for in the contract if the additional amount could reasonably have been ascertained had the builder obtained all the foundations data required by this section.
- (8) Nothing in this section prevents a builder from exercising any right given by this Act to the builder to claim an amount of money not already provided for in the contract if the need for the additional amount could not reasonably have been ascertained from the foundations data required by this section.

## Clause 18: Permits, prescribed approvals and third-party requirements

### Section 26 – Builder must supply copies of relevant reports etc.

- (1) A builder must give to a building owner a copy of any report, notice, order or other document that the builder is given in relation to the building work being carried out by the builder for the building owner by any public statutory authority, provider of services such as gas, electricity, telephone, water and sewerage or person registered under the *Building Act 1993*, and must do so as soon as practicable after receiving the report, notice, order or document.

Penalty: 20 penalty units.

## Clause 23: *Variations*

### Section 37 – Variation of plans or specifications – by builder

[Form begins]

|                                            |  |
|--------------------------------------------|--|
| Initial here that you have read section 37 |  |
| <i>Building Owner:</i>                     |  |
| <i>Builder</i>                             |  |

[Form ends]

---

<sup>1</sup> 1. S. 30(4)(a): Examples of relevant standards include AS 1726 – 1993 and AS 2870–1995.

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- (1) A builder who wishes to vary the plans or specifications set out in a major domestic building contract must give the building owner a notice that –
- (a) describes the variation the builder wishes to make; and
  - (b) states why the builder wishes to make the variation; and
  - (c) states what effect the variation will have on the work as a whole being carried out under the contract and whether a variation to any permit will be required; and
  - (d) if the variation will result in any delays, states the builder's reasonable estimate as to how long those delays will be; and
  - (e) states the cost of the variation and the effect it will have on the contract price.
- (2) A builder must not give effect to any variation unless –
- (a) the building owner gives the builder a signed consent to the variation attached to a copy of the notice required by subsection (1); or
  - (b) the following circumstances apply –
    - (i) a building surveyor or other authorised person under the *Building Act 1993* requires in a building notice or building order under that *Act* that the variation be made; and
    - (ii) the requirement arose as a result of circumstances beyond the builder's control; and
    - (iii) the builder included a copy of the building notice or building order in the notice required by subsection (1); and
    - (iv) the building owner does not advise the builder in writing within five business days of receiving the notice required by subsection (1) that the building owner wishes to dispute the building notice or building order.
- (3) A builder is not entitled to recover any money in respect of a variation unless –
- (a) the builder –
    - (i) has complied with this section; and
    - (ii) can establish that the variation is made necessary by circumstances that could not have been reasonably foreseen by the builder at the time the contract was entered into; or
  - (b) the Tribunal is satisfied –
    - (i) that there are exceptional circumstances or that the builder would suffer a significant or exceptional hardship by the operation of paragraph (a); and
    - (ii) that it would not be unfair to the building owner for the builder to recover the money.
- (4) If subsection (3) applies, the builder is entitled to recover the cost of carrying out the variation plus a reasonable profit.
- (5) This section does not apply to contractual terms dealing with prime cost items or provisional sums.

### Section 38 – *Variation* of plans or specifications – by building owner

[Form begins]

|                                            |  |
|--------------------------------------------|--|
| Initial here that you have read section 38 |  |
| <i>Building Owner:</i>                     |  |
| <i>Builder</i>                             |  |

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[Form ends]

- (1) A building owner who wishes to vary the plans or specifications set out in a major domestic building contract must give the builder a notice outlining the variation the building owner wishes to make.
- (2) If the builder reasonably believes the variation will not require a variation to any permit and will not cause any delay and will not add more than 2% to the original contract price stated in the contract, the builder may carry out the variation.
- (3) In any other case, the builder must give the building owner either –
  - (a) a notice that –
    - (i) states what effect the variation will have on the work as a whole being carried out under the contract and whether a variation to any permit will be required; and
    - (ii) if the variation will result in any delays, states the builder's reasonable estimate as to how long those delays will be; and
    - (iii) states the cost of the variation and the effect it will have on the contract price; or
  - (b) a notice that states that the builder refuses, or is unable, to carry out the variation and that states the reason for the refusal or inability.
- (4) The builder must comply with subsection (3) within a reasonable time of receiving a notice under subsection (1).
- (5) A builder must not give effect to any variation asked for by a building owner unless –
  - (a) the building owner gives the builder a signed request for the variation attached to a copy of the notice required by subsection (3)(a); or
  - (b) subsection (2) applies.
- (6) A builder is not entitled to recover any money in respect of a variation asked for by a building owner unless –
  - (a) the builder has complied with this section; or
  - (b) the Tribunal is satisfied –
    - (i) that there are exceptional circumstances or that the builder would suffer a significant or exceptional hardship by the operation of paragraph (a); and
    - (ii) that it would not be unfair to the building owner for the builder to recover the money.
- (7) If subsection (6) applies, the builder is entitled to recover the cost of carrying out the variation plus a reasonable profit.
- (8) This section does not apply to contractual terms dealing with prime cost items or provisional sums.

### Section 39 – Effect of a variation on the contract price

Unless the contrary intention appears, if the plans or specifications set out in a major domestic building contract are varied in accordance with section 37 or 38, any reference in this *Act*, the regulations or the contract to –

- (a) those plans or specifications is to be read as a reference to them as varied; and
- (b) the contract price is to be read as a reference to the contract price as adjusted to take account of the variation; and
- (c) the completion date, or the number of days required to finish the work, is to be read as a reference to that date, or number of days, as adjusted to take account of the variation.

## Clause 38: Termination other than after notice of default

### Section 41 – Ending a contract if completion time or cost blows out for unforeseeable reasons

- (1) A building owner may end a major domestic building contract if –
  - (a) either –
    - (i) the contract price rises by 15% or more after the contract was entered into; or
    - (ii) the contract has not been completed within 1½ times the period it was to have been completed by;  
and
  - (b) the reason for the increased time or cost was something that could not have been reasonably foreseen by the builder on the date the contract was made.
- (2) For the purposes of subsection (1), any increased time or cost that arises as a result of a prime cost item or a provisional sum or that is caused by a variation made under section 38 is to be ignored in calculating any price rise or increase in time.
- (3) To end the contract, the building owner must give the builder a signed notice stating that the building owner is ending the contract under this section and giving details of why the contract is being ended.
- (4) The Director may specify that the notice is to be given in a form approved by him or her. If the Director does this, the building owner must give the notice in that form.
- (5) If a contract is ended under this section, the builder is entitled to a reasonable price for the work carried out under the contract to the date the contract is ended.
- (6) However, a builder may not recover under subsection (5) more than the builder would have been entitled to recover under the contract.

## Part D: Forms

### Form A – Notice of commencement of *Work*

For use by: *Builder*

Related to: [Clause 6.2](#)

#### When to use this form

The deposit under this contract is to be paid in two parts. The first 80% of the deposit is due at the later of:

- a) the signing of the contract; or
- b) five *Business Days* after the *Building Owner* receives a copy of:
  - i) a copy of the *Domestic Building Insurance* policy
  - ii) the certificate of insurance
  - iii) a summary of the insurance product.

The final 20% of the deposit is due within five *Business Days* of the *Building Owner* receiving a notice from the *Builder* stating that they have substantially commenced the *Work* and stating the date of commencement. This form can be used for this purpose.

This request should be given to the *Building Owner* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice to the *Building Owner*

I wish to advise that the *Work* has substantially commenced.

|                                                                                                                                                      |    |
|------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| The <i>Work</i> commenced on [insert date]:                                                                                                          |    |
| Please pay the remaining 20% of the deposit within five <i>Business Days</i> of receiving this notice. The remaining 20% of the deposit is equal to: | \$ |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder</i> :                                                             |  |
| <i>Builder's Representative</i> :                                            |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note to the *Building Owner*

The *Domestic Building Contracts Act 1995* states that the *Builder* must not demand or receive a deposit that is more than:

- a) 5% of the *Contract Price*, if the *Contract Price* is \$20,000 or more
- b) 10% of the *Contract Price*, if the *Contract Price* is less than \$20,000.

If the *Builder* demands a deposit greater than the relevant amount above, the *Building Owner* may void the Contract at any time before it is completed.

[Form ends]

## Form B – Request for evidence of title and site dimensions

For use by: *Builder*

Related to: [Clause 12.4](#)

### When to use this form

Under the contract, the *Builder* must ensure that the *Building Site* is on land owned by the *Building Owner* and be certain of the location of the site's boundaries.

The *Builder* can use this form to request evidence from the *Building Owner* of their title to the *Building Site* and the dimensions of the *Building Site*.

This request should be given to the *Building Owner* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Request to the *Building Owner*

Please provide satisfactory evidence of:

- a) your title to the *Building Site*
- b) the dimensions of the *Building Site*.

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

[Form ends]

## Form C – Notification of requirement for a boundary survey

For use by: *Builder*

Related to: [Clause 12.5](#)

### When to use this form

If the boundaries of the *Building Site* can only be determined by a licensed land surveyor, the *Builder* must provide a boundary survey. Before obtaining the survey, the *Builder* must notify the *Building Owner* that they intend to obtain a survey, and the estimated cost of that survey. The *Builder* can use this form to provide this information to the *Building Owner*.

This notice should be given to the *Building Owner* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice to the *Building Owner*

I intend to obtain a boundary survey from a licensed land surveyor.

|                                                                                                                                                                                                                                |    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| In accordance with the contract, you (the <i>Building Owner</i> ) will be responsible for paying the reasonable cost of this survey, which I estimate to be [ <i>Builder</i> to insert reasonable estimate of cost of survey]: | \$ |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder</i> :                                                             |  |
| <i>Builder's Representative</i> :                                            |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note to the *Building Owner*

In accordance with the contract, as the *Building Owner* you will be responsible for paying the reasonable cost of the survey.

[Form ends]

## Form D – Request for evidence of capacity to meet contract terms

For use by: *Builder or Building Owner*

Related to: Clause 20.10

### When to use this form

At any time during the term of the contract, either party may request evidence from the other party that they have the capacity to meet the terms of the contract (e.g. that the *Builder* is able to complete the *Work*, or the *Building Owner* is able to pay).

Either party may use this form to request evidence from the other party that they are able to meet the terms of the contract.

This request should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

### Important note

Where the other party provides evidence in response to this request, the party who issued this request will be responsible for paying the reasonable costs incurred in obtaining and providing this evidence. These costs should be added to, or deducted from, the *Contract Price*.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name]:                                                       |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name]:                                                     |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Request

Please provide reasonable evidence of your capacity to meet the terms of this contract.

|       |  |
|-------|--|
| Date: |  |
|-------|--|

  

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| Signed by (there are four options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                               |  |
| <i>Builder's Representative:</i>                                              |  |
| <i>Building Owner(s):</i>                                                     |  |
| <i>Building Owner's Representative:</i>                                       |  |

  

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note to the recipient of this request

You must respond to this request within 10 *Business Days* of receiving it. Failure to respond within this timeframe may result in suspension of *Work* or termination of the contract.

Any reasonable costs incurred in obtaining or providing this evidence should be added to, or deducted from, the *Contract Price*.

[Form ends]

## Form E – Notification of new representative

For use by: *Builder or Building Owner*

Related to: [Clause 12.12](#) and [Clause 12.13](#)

### When to use this form

The parties to this contract may nominate a representative who is authorised to communicate with the other party. At the time the contract was entered into, the names of representatives were specified in the *Contract Details* in [Clause 4](#). If a party wishes to appoint a new representative during the term of the contract, they must notify the other party of the new representative. This form can be used for this purpose.

This notice should be either given in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name]:                                                       |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name]:                                                     |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice

I have appointed a new representative. The new representative's details are:

Contact details

|                                                                                                      |  |
|------------------------------------------------------------------------------------------------------|--|
| Name:                                                                                                |  |
| Address:                                                                                             |  |
| Postal address:                                                                                      |  |
| Postcode:                                                                                            |  |
| Business phone:                                                                                      |  |
| After hours:                                                                                         |  |
| Mobile:                                                                                              |  |
| Fax:                                                                                                 |  |
| Email:                                                                                               |  |
| The preferred method of delivery of a demand, notice or other document to the new representative is: |  |

## Building Contractors Pty Ltd

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| Signed by (there are four options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                               |  |
| <i>Builder's Representative:</i>                                              |  |
| <i>Building Owner(s):</i>                                                     |  |
| <i>Building Owner's Representative:</i>                                       |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

[Form ends]

## Form F – Notification of whether loan has been approved

For use by: *Building Owner*

Related to: [Clause 19](#)

### When to use this form

In most cases, the contract will be conditional on the *Building Owner* obtaining loan approval on or before the *Loan Approval Date* specified in [Clause 4](#) of the contract.

Within three *Business Days* after the *Loan Approval Date*, the *Building Owner* must notify the *Builder* whether or not the loan has been approved. This form can be used for this purpose.

This notice should be given to the *Builder* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Builder</i> ]:                                    |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Building Owner</i> ]:                           |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice to the *Builder*

|                                                                                                                                  |  |
|----------------------------------------------------------------------------------------------------------------------------------|--|
| I notify you that (there are two options – either provide information for the first option or mark the second option with an X): |  |
| I have obtained loan approval from<br>[insert name of <i>Lender</i> ]:                                                           |  |
| I have not obtained loan approval.                                                                                               |  |

### Important note to the *Building Owner*

If you fail to notify the *Builder* within three *Business Days* after the *Loan Approval Date*, you will continue to be bound by the contract, regardless of whether your loan has been approved.

|       |  |
|-------|--|
| Date: |  |
|-------|--|

  

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Building Owner</i> :                                                      |  |
| <i>Building Owner's Representative</i> :                                     |  |

  

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

If, on or before three *Business Days* after the *Loan Approval Date*, the *Building Owner* gives the *Builder* notice that the *Lender* has refused to approve the loan, the contract is at an end. [Clause 19.6](#), [Clause 19.7](#) and [Clause 19.8](#) specify the liability of each of the parties in these circumstances.

[Form ends]

## Form G – Notification of likely delay/claim for *Extension of Time*

For use by: *Builder*

Response by: *Building Owner*

Related to: [Clause 22](#)

### When to use this form

If the *Builder* becomes aware of a likely delay in completing the *Work* by the *Finish Date*, they are required (as soon as practical) to give the *Building Owner* notice of the likely delay, its cause and, as far as possible, its duration. This form can be used for this purpose.

If there has been a delay, the *Builder* can claim an *Extension of Time* by stating the reason for the delay and its duration. The *Builder* must make this claim within 15 *Business Days* of the delay ceasing. This form can be used for this purpose.

If the *Builder* makes a claim for an *Extension of Time*, the *Building Owner* may accept or reject (wholly or in part) the claim. This form can be used for this purpose.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

### Section A – Claim by *Builder*

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ] |  |
|-------------------------------------------------------------------------------|--|

|                                                                                     |  |
|-------------------------------------------------------------------------------------|--|
| <i>Builder's</i> (there are two options – mark the option which applies with an X): |  |
| notification of likely delay                                                        |  |
| claim for <i>Extension of Time</i> for <i>Completion of Work</i> .                  |  |

|                                                                                                                                                   |  |
|---------------------------------------------------------------------------------------------------------------------------------------------------|--|
| The reason for the delay/likely delay is (there are six options – mark the option/s which apply with an X, and provide details where applicable): |  |
| <i>Inclement Weather</i>                                                                                                                          |  |
| industrial dispute                                                                                                                                |  |
| rectification of minor <i>Defects</i>                                                                                                             |  |
| suspension of <i>Work</i> (advised previously) (see <a href="#">Clause 35</a> of the contract)                                                    |  |
| other reason beyond the <i>Builder's</i> control [specify]:                                                                                       |  |
| an act or omission of the <i>Building Owner</i> [if so, specify]:                                                                                 |  |

(Note: If an act or omission of the *Building Owner* is the cause of the delay, the *Builder* must notify the *Building Owner* within two *Business Days* of the delay commencing.)

|                                                                                               |  |
|-----------------------------------------------------------------------------------------------|--|
| The length of the likely delay or claimed <i>Extension of Time</i> is (enter number of days): |  |
|-----------------------------------------------------------------------------------------------|--|

## Building Contractors Pty Ltd

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

**Important note to the *Builder***

The *Extension of Time* must be fair and reasonable in the circumstances.

[Form continues next page]

## Building Contractors Pty Ltd

### Form G continued

#### Section B – *Building Owner's* response

(needed only if the *Builder* is claiming an *Extension of Time*).

|                                                                                                                                                                                                           |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Response (there are three options – mark the option which applies with an X and provide the reasons for your response where applicable):                                                                  |  |
| I accept all of the <i>Builder's</i> claim for an <i>Extension of Time</i>                                                                                                                                |  |
| I partially accept the <i>Builder's</i> claim for an <i>Extension of Time</i> . The <i>Extension of Time</i> accepted is (specify number of days and provide the reason for rejecting part of the claim): |  |
| I reject all of the <i>Builder's</i> claim for an <i>Extension of Time</i> . The reason for rejecting the claim is:                                                                                       |  |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Building Owner(s)</i> :                                                   |  |
| <i>Building Owner's Representative</i> :                                     |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

#### Important note to the *Building Owner*

Accepting a claim for an *Extension of Time* will result in the *Finish Date* being adjusted accordingly.

If you do not respond to the *Builder's* claim within 10 *Business Days*, you will be deemed to have accepted the claimed extension in full.

[Form ends]

## Form H – Variation to plans and specifications

For use by: *Builder or Building Owner*

Related to: [Clause 23](#)

### When to use this form

During the term of the contract, either party may wish to vary the plans or specifications.

Section A should be completed by the party wishing to initiate a *Variation*. If the *Builder* initiates a *Variation*, they must provide a reason.

Section B should be completed by the *Builder*, stating the effect the *Variation* will have on the *Work* as a whole, whether a *Variation* to any permit will be required, the cost of the *Variation* and effect on the *Contract Price*, and whether it will result in any delays.

Section C provides for the *Building Owner's* approval or rejection of the proposed *Variation*.

This form should not be used for *Variations* regarding *Prime Cost Items* or *Provisional Sums*.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

### Section A – Initiation of *Variation*

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ] |  |
|-------------------------------------------------------------------------------|--|

|                                                                                                                                           |  |
|-------------------------------------------------------------------------------------------------------------------------------------------|--|
| Party initiating <i>Variation</i> (there are two options – mark the option which applies with an X and provide details where applicable): |  |
| <i>Building Owner:</i>                                                                                                                    |  |
| <i>Builder</i> [insert reason for variation]:                                                                                             |  |

|                                                                                                                |
|----------------------------------------------------------------------------------------------------------------|
| Description of <i>Variation</i> to plans and specifications [attach additional page(s) if insufficient space]: |
|                                                                                                                |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| Signed by (there are four options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                               |  |
| <i>Builder's Representative:</i>                                              |  |
| <i>Building Owner(s):</i>                                                     |  |
| <i>Building Owner's Representative:</i>                                       |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

The *Builder* and *Building Owner* should read [sections 37 and 38 of the Act](#) carefully before completing this form. These sections of the *Act* are reproduced in the *Legislation Extracts* in Part C of the contract.

[Form continues next page]

## Building Contractors Pty Ltd

### Form H continued

#### Section B – Effect of *Variation*

(to be completed by the *Builder* at the same time as section A or within a reasonable time of receiving section A from the *Building Owner*).

Complete either Part I or Part II below:

##### Part I

The *Builder* refuses, or is unable, to carry out the *Variation*. The reason for refusal or inability is:

##### Part II

The effect the *Variation* will have on the *Work* as a whole is (include whether any variation to permits will be required):

The *Variation* will result in a delay of  
[insert reasonable estimate of the  
number of days]:

The cost of the *Variation* will be:

\$

The effect on the *Contract Price* will be (there are three options – mark the option which applies with an X and enter a value where applicable):

no change in price

a decrease in the *Contract Price* of:

\$

an increase in the *Contract Price* of:

\$

## Building Contractors Pty Ltd

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

In some circumstances, the *Builder* can proceed with the *Variation* without first obtaining the *Building Owner's* consent. These circumstances are outlined in [sections 37 and 38 of the Act](#), which are reproduced in the *Legislation Extracts* in Part C of the contract.

[Form continues next page]

## Building Contractors Pty Ltd

### Form H continued

#### Section C – *Building Owner's* consent to *Variation*

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Tick as appropriate below:                                                   |  |
| I agree to the <i>Variation</i> described in section A above                 |  |
| I do not agree to the <i>Variation</i> described in section A above.         |  |
|                                                                              |  |
| Date:                                                                        |  |
|                                                                              |  |
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Building Owner(s):</i>                                                    |  |
| <i>Building Owner's Representative:</i>                                      |  |
|                                                                              |  |
| Signature:                                                                   |  |

#### Important note to the *Building Owner*

If you do not provide a response to the *Builder* within five *Business Days*, the *Builder* may still proceed with the *Variation* if the *Variation* is required in a building notice or building order and the requirement arose as a result of circumstances beyond the *Builder's* control.

[Form ends]

## Form I – Notification of *Provisional Sum* or *Prime Cost Item Work*

For use by: *Builder*

Related to: [Clause 24.3](#) and [Clause 25.3](#)

### When to use this form

If the contract includes items in the *Provisional Sum* Schedule or the *Prime Cost Item* Schedule, the *Builder* must give the *Building Owner* adequate notice of when this *Work* is to be undertaken. As the cost of these items may vary from the amounts included in the schedules, the *Building Owner* may wish to be present at the time the *Work* is undertaken to verify the actual cost of the *Work*.

This notice should be given to the *Building Owner* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

## Notice to the *Building Owner*

|                                                                                |
|--------------------------------------------------------------------------------|
| I notify you that [insert detailed description of the item from the Schedule]: |
|                                                                                |
| will be undertaken on [insert date and time]:                                  |
|                                                                                |

This *Work* is included in the contract as (there are two options – mark the option which applies with an X):

|                      |  |
|----------------------|--|
| Provisional Sum Work |  |
| Prime Cost Item Work |  |

## Building Contractors Pty Ltd

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

If the *Building Owner* is unable to attend at the time the *Work* is to be done, or does not attend, the *Builder* can proceed with the *Work* without delay, even though the *Building Owner* is absent.

[Form ends]

## Form J – Progress payments

For use by: *Builder*

Response by: *Building Owner*

Related to: [Clause 7](#)

### When to use this form

At certain defined stages, the *Builder* may demand and recover or retain amounts by way of progress payments for the *Work* done. These payments must not be a greater percentage of the *Contract Price* than allowed under the *Act*. This form can be used by the *Builder* to claim a progress payment.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice of completion of stage

|                                                                                                                                                     |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|--|
| The <i>Builder</i> advises that the <i>Work</i> is at the stage indicated below (there are five options – mark the option which applies with an X): |  |
| Contract to build all stages                                                                                                                        |  |
| Base stage 10%                                                                                                                                      |  |
| Frame stage 15%                                                                                                                                     |  |
| Lock-up stage 35%                                                                                                                                   |  |
| Fixing stage 25%                                                                                                                                    |  |
| Final stage 10%                                                                                                                                     |  |

### Claim for progress payment

|                                                                                                                                                               |    |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| The <i>Builder</i> claims a progress payment of:                                                                                                              | \$ |
| which is equal to [percentage of the <i>Contract Price</i> ] (insert relevant percentage from above):                                                         |    |
| The amount due is (insert amount; if this is the first progress payment, the amount of the deposit paid should be deducted from the progress payment amount): | \$ |

|                                                                                                                                                                                                                                                     |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| This progress payment claim takes into account the following adjustments to the <i>Contract Price</i> , which have been made since the contract was signed/the last progress payment claim was made: (Complete points 1-3 below only if applicable) |  |
| 1. An overall adjustment to the <i>Contract Price</i> as a result of an agreed <i>Variation</i> to plans and specifications:                                                                                                                        |  |
| 2. <i>Variation</i> in the actual price of the following <i>Provisional Sum</i> items:                                                                                                                                                              |  |

## Building Contractors Pty Ltd

|                                                                                    |    |
|------------------------------------------------------------------------------------|----|
| 3. <i>Variation</i> in the actual price of the following <i>Prime Cost Items</i> : |    |
| (increase/decrease)                                                                | \$ |
| See <a href="#">Clause 24</a> and the <i>Provisional Sum</i> Schedule              |    |
| (increase/decrease)                                                                | \$ |
| (increase/decrease)                                                                | \$ |
| (increase/decrease)                                                                | \$ |
| See <a href="#">Clause 25</a> and the <i>Prime Cost Item</i> Schedule              |    |
| (increase/decrease)                                                                | \$ |
| (increase/decrease)                                                                | \$ |
| (increase/decrease)                                                                | \$ |

### Important note to the *Builder*

Copies of invoices, receipts or other documentation relating to *Prime Cost Items* or *Provisional Sums* must be given to the *Building Owner* as soon as practicable after receiving the invoice, receipt or document.

The progress payment claimed must not exceed the relevant percentage of the *Contract Price* set out above.

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| Builder:                                                                     |  |
| Builder's Representative:                                                    |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note to the *Building Owner*

Before making a progress payment, it is important you ensure that the relevant stage has been completed as claimed.

[Form ends]

## Form K – Loss, expense or damage caused to the *Building Owner*

For use by: *Building Owner*

Response by: *Builder*

Related to: [Clause 29](#)

### When to use this form

If there is a delay in completing the *Work* beyond the *Finish Date*, the *Building Owner* is entitled to recover from the *Builder* loss, expense or damage caused to the *Building Owner* by the delay. This form can be used to make this claim.

The *Building Owner* must provide the *Builder* with a detailed claim for loss, expense or damage within 15 *Business Days* after the *Finish Date*.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

**Section A – *Building Owner's* claim for loss, expense or damage**

|                                                                         |  |
|-------------------------------------------------------------------------|--|
| Regarding construction at<br>[insert address of <i>Building Site</i> ]: |  |
|-------------------------------------------------------------------------|--|

*Building Owner's claim for loss, expense or damage caused by a delay*

|                                                                                                                                                       |    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| The <i>Building Owner</i> claims the following amount of for loss, expense or damage caused by a delay in completing the <i>Work</i> (insert amount). | \$ |
| Details of this claim are [attach additional page(s) if insufficient space]:                                                                          |    |
|                                                                                                                                                       |    |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Building Owner(s):</i>                                                    |  |
| <i>Building Owner's Representative:</i>                                      |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note to the *Building Owner*

Attach copies of all relevant documents that support your claim.

[Form continues next page]

## Building Contractors Pty Ltd

### Form K continued

#### Section B – *Builder's* response

|                                                                                                                                                                         |    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| <i>Builder's</i> response to the <i>Building Owner's</i> claim (there are three options – mark the option which applies with an X or provide details where applicable): |    |
| The claim in section A is accepted.                                                                                                                                     |    |
| The claim in section A is accepted in part. Specify the part accepted (in dollars) and the reason for rejecting part of the claim:                                      | \$ |
| The claim in section A is rejected. The reason for rejecting the claim is:                                                                                              |    |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

#### Important note to the *Builder*

The *Builder* should respond to the claim within 10 *Business Days* of receiving this notice.

#### Important note to the *Building Owner* and the *Builder*

Any dispute about the *Building Owner's* claim will be dealt with under the *Dispute Resolution Procedure*.

If the *Building Owner* has made a claim for loss, expense or damage, the *Building Owner* is not obliged to make a final payment to the *Builder* until five *Business Days* after the claim is accepted or a dispute as to the claim is resolved.

Any claim owed to the *Building Owner* will be deducted from the final payment due to the *Builder*. If the final payment is insufficient to satisfy the claim, the *Builder* will pay the balance to the *Building Owner* within five *Business Days* of the claim being accepted or resolved.

[Form ends]

## **Form L – *Completion of Work and Opinion Procedure***

For use by: *Builder*

Response by: *Building Owner*

Related to: [Clause 32](#)

### **When to use this form**

When the *Builder* is of the opinion that that *Completion of Work* has been achieved they must notify the *Building Owner*. This form can be used for this purpose.

This form also may be used for the *Opinion Procedure*.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

### Section A – Completion of Work notice

#### Notice to the *Building Owner*

|                                                                         |  |
|-------------------------------------------------------------------------|--|
| To [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                         |  |
| Postcode:                                                               |  |
| Contact person:                                                         |  |
| Telephone:                                                              |  |
| Regarding construction at<br>[insert address of <i>Building Site</i> ]: |  |
| From [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                         |  |
| Postcode:                                                               |  |
| Contact person:                                                         |  |
| Telephone:                                                              |  |

I am of the opinion that *Completion of Work* has been achieved.

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder</i> :                                                             |  |
| <i>Builder's Representative</i> :                                            |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

#### Important note to the *Building Owner*

You must respond within 10 *Business Days* of receiving this notice.

[Clause 32.1](#) of the contract states that after the *Builder* has given the *Building Owner* the *Builder's* opinion that they have completed the *Work*, the parties will from that point follow the *Opinion Procedure*. The remaining sections of this form relate to the *Opinion Procedure*.

[Form continues next page]

## Building Contractors Pty Ltd

### Form L continued

#### Section B – *Building Owner's* response to opinion about *Completion of Work*

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Builder</i> ]:                                    |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Building Owner</i> ]:                           |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

My response to the opinion you have given to me is that (there are two options – mark the option which applies with an X or provide details where applicable):

I accept the opinion that *Completion of Work* has been achieved and the remaining sections of this form are not needed.

I do not accept the opinion [insert reasons]:

## Building Contractors Pty Ltd

|                                                                                                                                        |  |
|----------------------------------------------------------------------------------------------------------------------------------------|--|
| I request that you meet with me at the <i>Building Site</i> to reach agreement about <i>Completion of Work</i> [insert time and date]: |  |
|----------------------------------------------------------------------------------------------------------------------------------------|--|

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                       |  |
|---------------------------------------|--|
| Signed by the <i>Building Owner</i> : |  |
|---------------------------------------|--|

[Form continues next page]

## Building Contractors Pty Ltd

### Form L continued

#### Section C – *Builder's* record of *Completion of Work* meeting

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |

|                                                                                                                 |  |
|-----------------------------------------------------------------------------------------------------------------|--|
| Set out below is a record of the meeting held between us at the <i>Building Site</i> on [insert time and date]: |  |
|                                                                                                                 |  |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                |  |
|--------------------------------|--|
| Signed by the <i>Builder</i> : |  |
|--------------------------------|--|

[Form continues next page]

## Building Contractors Pty Ltd

### Form L continued

#### Section D – Resubmitted *Completion of Work* notice

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |

I am of the opinion that *Completion of Work* has been achieved. This notice is resubmitted. Since the previous notice, the following actions have occurred:

|  |
|--|
|  |
|--|

Date:

|  |
|--|
|  |
|--|

Signed by (there are two options – mark the option which applies with an X):

*Builder:*

*Builder's Representative:*

|  |
|--|
|  |
|  |

Signature:

|  |
|--|
|  |
|--|

#### Important note to the *Building Owner*

You must respond within 10 *Business Days* of receiving this notice.

[Form continues next page]

## Building Contractors Pty Ltd

### Form L continued

#### Section E – *Building Owner's* response to resubmitted opinion about *Completion of Work*

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Builder</i> ]:                                    |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Building Owner</i> ]:                           |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

My response to the resubmitted opinion you have given to me is that (there are two options – mark the option which applies with an X or provide details where applicable):

I accept the opinion that *Completion of Work* has been achieved and the remaining sections of this form are not needed.

I do not accept the opinion [insert reasons]:

## Building Contractors Pty Ltd

Select one of the two options below by marking with an X or provide details where applicable

I request that you meet with me at the *Building Site* again to reach agreement about *Completion of Work* and I agree to repeat the *Opinion Procedure* [insert time and date]:

*Completion of Work* will now be dealt with under the *Dispute Resolution Procedure*.

Date:

Signed by the *Building Owner*:

[Form ends]

## Form M – Rectification requirement

For use by: *Building Owner*

Response by: *Builder*

Related to: [Clause 33](#)

### When to use this form

If, within three calendar months after the date of final payment a *Defect* in the *Work* appears that is not a result of misuse or ordinary wear and tear, the *Building Owner* can request the *Builder* to perform this rectification. This form can be used for this purpose.

This form may be also used by the *Builder* to respond to the rectification request.

After any section of this form has been completed, it should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

### Section A – *Building Owner's* rectification request

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
|--------------------------------------------------------------------------------|--|

#### *Building Owner's Defect* Rectification Request

|                                                                                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| I request that you rectify the following <i>Defects</i> , which have become apparent in the <i>Work</i> within three calendar months of <i>Final Completion</i> [attach additional page(s) if insufficient space]: |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
|------------------------------------------------------------------------------|--|

|                            |  |
|----------------------------|--|
| <i>Building Owner(s)</i> : |  |
|----------------------------|--|

|                                          |  |
|------------------------------------------|--|
| <i>Building Owner's Representative</i> : |  |
|------------------------------------------|--|

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

#### **Important note to the *Building Owner***

If you require the *Builder* to rectify the *Defect*, you must notify them of the *Defect* within 10 *Business Days* of the expiry of the three calendar month period following *Final Completion*.

[Form continues next page]

## Building Contractors Pty Ltd

### Form M continued

#### Section B – *Builder's* response

*Builder's* response to the *Defect Rectification Request*

I agree to rectify the following *Work* [attach additional page(s) if insufficient space]:

I do not agree to rectify the following *Work* [attach additional page(s) if insufficient space]:

Date:

Signed by (there are two options – mark the option which applies with an X):

*Builder:*

*Builder's Representative:*

Signature:

#### **Important note to the *Builder***

You must respond to the above *Defect Rectification Request* within 10 *Business Days* of receiving this request.

Unless you have reasonable grounds for doing so, you must rectify the item or items in the above *Defect Rectification Request* at your cost within 20 *Business Days* of receiving this request.

#### **Important note to the *Builder* and the *Building Owner***

If a dispute arises between the parties as to whether there is a *Defect* or as to its extent or whether it has been rectified so as to accord with the contract, the dispute will be dealt with under the *Dispute Resolution Procedure*.

[Form ends]

## Form N – Notice of dispute

For use by: *Building Owner* or *Builder*

Related to: [Clause 34](#)

### When to use this form

If either party considers that a dispute has arisen about any matter covered by this contract, that party must promptly give the other notice of the items of dispute. The notice must identify both the matter and the claim being made. This form can be used for this purpose.

Matters in dispute can be those that arose during the progress of the *Work*, arose after *Completion of Work* or arose after the contract was terminated.

## Building Contractors Pty Ltd

[Form begins]

### Notification of dispute

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
|--------------------------------------------------------------------------------|--|

### Notice of dispute

|                                      |  |
|--------------------------------------|--|
| <b>To</b> [insert name and address]: |  |
|--------------------------------------|--|

|                                                                                                                                                                                                                        |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| I consider that a dispute has arisen regarding our contract. The items I consider to be in dispute are as follows<br>[insert details of matter and claim being made. Attach additional page(s) if insufficient space]: |
|                                                                                                                                                                                                                        |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                               |  |
|-------------------------------------------------------------------------------|--|
| Signed by (there are four options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                               |  |
| <i>Builder's Representative:</i>                                              |  |
| <i>Building Owner(s):</i>                                                     |  |
| <i>Building Owner's Representative:</i>                                       |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

The *Builder's Representative* and the *Building Owner's Representative* may only represent their principal in a dispute if they have been authorised in writing.

Following receipt of this notice, a meeting is to be arranged between the parties to negotiate in an honest and genuine attempt to resolve the dispute by discussion.

If the dispute is not resolved within 10 *Business Days*, the parties may lodge a complaint with Building Advice and Conciliation Victoria or ask for an inspector to be appointed under the *Act*.

Where a dispute exists, each of the parties must continue to perform its obligations under this contract unless the other party evinces an intention not to comply with [Clause 34](#) of the contract.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

[Form ends]

## Form O – *Suspension of Work*

For use by: *Builder*

Related to: [Clause 35](#) and [Clause 36](#)

### When to use this form

In circumstances where the *Building Owner* has failed to do certain things required by this contract, the *Builder* may suspend the *Work*. Before suspending *Work*, the *Builder* must give the *Building Owner* five *Business Days* notice of their intention to suspend the *Work*. The notice must specify clearly the failure or failures that caused the *Builder* to give it. This form can be used for this purpose.

This notice should be given to the *Building Owner* either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

### Notice of intention to suspend *Work*

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
|--------------------------------------------------------------------------------|--|

### Notice of suspension of *Work*

|                                                                                                                                                                                                                            |  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| I intend to suspend <i>Work</i> because you (the <i>Building Owner</i> ) have failed to do the following in accordance with the terms of this contract (there are five options – mark the option which applies with an X): |  |
| provide satisfactory evidence of the title to the <i>Building Site</i> after being required to do so under <a href="#">Clause 12.4</a>                                                                                     |  |
| pay any amount due and payable to the <i>Builder</i>                                                                                                                                                                       |  |
| provide satisfactory evidence of its capacity to pay the <i>Contract Price</i> , including any <i>Variations</i> after being required to do so under <a href="#">Clause 12.10</a>                                          |  |
| provide the <i>Builder</i> or the <i>Builder's</i> sub-contractors access to the <i>Building Site</i>                                                                                                                      |  |
| an event of insolvency has occurred (see <a href="#">Clause 36.1</a> of the contract).                                                                                                                                     |  |

#### Details of the *Building Owner's* default

[insert sufficient details of the *Building Owner's* action/inaction to enable them to remedy the reason for the intended suspension of *Work*]:

|  |
|--|
|  |
|--|

#### Details of the *Building Owner's* insolvency:

|  |
|--|
|  |
|--|

## Building Contractors Pty Ltd

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

### Important note

If the *Building Owner* remedies the default within five *Business Days*, the *Builder* must recommence the *Work* within 10 *Business Days* unless the *Builder* has terminated the contract.

[Form ends]

## Form P – Termination of contract by *Builder*

For use by: *Builder*

Related to: [Clause 18.5](#) and [Clause 38](#)

### When to use this form

The contract includes a number of clauses that provide for the termination of the contract. This form can be used by the *Builder* to terminate the contract.

This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Building Owner</i> ]:                             |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |
| <b>From</b> [insert name of <i>Builder</i> ]:                                  |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |

### Notice of intention to terminate the contract

|                                                                                                                                                                                                                               |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| I give notice that the contract is terminated for the following reason(s) (there are six options – mark the option/s which apply with an X and provide details where applicable)                                              |  |
| failure by the <i>Building Owner</i> to respond to the <i>Builder's</i> request to provide evidence of title or capacity to pay the <i>Contract Price</i> (see <a href="#">Clause 12.4</a> and <a href="#">Clause 12.10</a> ) |  |
| failure by the <i>Building Owner</i> to pay a progress payment or any other amount due and payable to the <i>Builder</i> (see <a href="#">Clause 7</a> )                                                                      |  |
| the <i>Building Owner's</i> substantial or persistent obstruction of the <i>Builder</i> in the performance of the <i>Work</i> (see <a href="#">Clause 21.5</a> )                                                              |  |

## Building Contractors Pty Ltd

|                                                                                                                                                                                                                                                                                                                                |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| other substantial breach of the contract by the <i>Building Owner</i> [specify]:                                                                                                                                                                                                                                               |  |
| the <i>Building Owner</i> (although responsible for doing so) has not secured a building permit within 60 calendar days from the date of the contract (see <a href="#">Clause 18.5</a> )                                                                                                                                       |  |
| the <i>Building Owner</i> has committed an act of bankruptcy, has been made bankrupt, has assigned assets for the benefit of creditors generally, has made a composition or other arrangement with creditors, or has gone into liquidation or receivership or otherwise lost full capacity (see <a href="#">Clause 36.1</a> ). |  |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Builder:</i>                                                              |  |
| <i>Builder's Representative:</i>                                             |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

[Form ends]

## Form Q – Termination of contract by *Building Owner*

For use by: *Building Owner*

Related to: [Clause 18.5](#), [Clause 23.5](#), [Clause 38](#) and [Clause 39](#)

### When to use this form

The contract includes a number of clauses that provide for the termination of the contract.

This form can be used by the *Building Owner* to terminate the contract. This notice should be delivered either in person or using one of the preferred methods nominated in [Clause 4](#) of the contract entitled '*Contract Details*'.

## Building Contractors Pty Ltd

[Form begins]

|                                                                                |  |
|--------------------------------------------------------------------------------|--|
| <b>To</b> [insert name of <i>Builder</i> ]:                                    |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>From</b> [insert name of <i>Building Owner</i> ]:                           |  |
| Postal address:                                                                |  |
| Postcode:                                                                      |  |
| Contact person:                                                                |  |
| Telephone:                                                                     |  |
| <b>Regarding construction at</b><br>[insert address of <i>Building Site</i> ]: |  |

### Notice of intention to terminate the contract

|                                                                                                                                                                                     |  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| I give notice that the contract is terminated for the following reason(s) (there are eight options – mark the option/s which apply with an X and provide details where applicable): |  |
| failure by the <i>Builder</i> to perform or progress the <i>Work</i> or the <i>Approval Work</i> in accordance with the contract (see <a href="#">Clause 37.5</a> )                 |  |
| failure by the <i>Builder</i> to provide materials that comply with the contract (see <a href="#">Clause 37.5</a> )                                                                 |  |
| unreasonable failure by the <i>Builder</i> to replace or remedy defective <i>Work</i> or materials (see <a href="#">Clause 37.5</a> )                                               |  |
| failure by the <i>Builder</i> to take out or maintain any insurance required by the contract (see <a href="#">Clause 37.5</a> )                                                     |  |

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|                                                                                                                                                                                   |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| other substantial breach of the contract by the <i>Builder</i> [specify]:                                                                                                         |  |
| the <i>Builder</i> (although responsible for doing so) has not secured a building permit within 60 calendar days from the date of the contract (see <a href="#">Clause 18.5</a> ) |  |
| the <i>Contract Price</i> has risen by 15% or more (see <a href="#">Clause 38.1</a> )                                                                                             |  |
| the contract has not been completed within one and a half (1.5) times the period by which it was to have been completed (see <a href="#">Clause 38.1</a> ).                       |  |

|       |  |
|-------|--|
| Date: |  |
|-------|--|

|                                                                              |  |
|------------------------------------------------------------------------------|--|
| Signed by (there are two options – mark the option which applies with an X): |  |
| <i>Building Owner(s):</i>                                                    |  |
| <i>Building Owner's Representative:</i>                                      |  |

|            |  |
|------------|--|
| Signature: |  |
|------------|--|

[Form ends]

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